

Samsung Biologics Co., Ltd. and Subsidiary

**Consolidated Financial Statements
December 31, 2021 and 2020**

Samsung Biologics Co., Ltd. and Subsidiary
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December 31, 2021 and 2020

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Independent Auditor's Report

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Samsung Biologics Co., Ltd. (the "Company") and its subsidiary (collectively referred to as the "Group"), which comprise the consolidated statements of financial position as at December 31, 2021 and 2020, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2021 and 2020, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS).

Basis for Opinion

We conducted our audits in accordance with Korean Standards on Auditing. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of the financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

Without modifying our opinion, we draw attention to Note 35 to the consolidated financial statements.

Administrative lawsuit against a ruling of the Securities and Futures Commissions to suspend sanctions, and the related indictment.

As described in Note 35 to the consolidated financial statements, the Securities and Futures Commission (the "SFC") made a decision to impose measures on the Company in relation to alleged errors in accounting for the Company's investment in Samsung Bioepis from 2012 to the first half of 2018.

The Company submitted requests to the Seoul Administrative Court (the "Court") to suspend the measures imposed by the SFC and the Court accepted the Company's requests. In relation to this, the appeal and re-appeal made by SFC were rejected by the Seoul High Court and the Supreme Court, respectively.

An administrative lawsuit and prosecution investigation against the Company's former CEO and CFO are in progress, and it is not possible to predict the outcome of the administrative lawsuit and the investigation. However, if the Company loses the administrative lawsuit, then the Company's consolidated financial statements for 2012 and the subsequent reporting periods could be restated.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

(1) Impairment test of investments in associates and joint ventures

Why it is determined to be a Key Audit Matter

The Group accounts for investments in associates which the Group has significant influence and joint ventures which the Group holds joint control using the equity method of accounting. The Group reviews whether there are any impairment indicators of investments in associates and joint ventures at the end of each reporting period, and if there is an indication of impairment, the Group calculates the amount of impairment as the difference between the recoverable amount of investments in associates and joint ventures and their carrying value (Note 2).

Investments in associates and joint ventures consist mostly of the Group's investment in Samsung Bioepis Co, Ltd. of ₩ 2,656 billion as of December 31, 2021. We determined that the impairment assessment of investments in associates and joint ventures to be a key audit matter as the investment in Samsung Bioepis Co., Ltd. comprise a material portion of the Group's consolidated financial statements and the determination of the recoverable amount involves significant judgement and estimates of the Group management including the determination of discount rates, revenue growth rates and cash flow forecast.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the impairment assessment of the investment in Samsung Bioepis Co., Ltd. are as follows.

- Assessed the independence and competence of the external valuation specialists engaged by management.
- Engaged our internal specialists, to assist in assessing the appropriateness of the valuation method and key assumptions.
- Assessed the reasonableness of the key assumptions and variables used in the assessment by comparing the latest business plans adopted by management with historical performance and available external data.
- Compared the actual results for the current year with management's estimates of cash flows calculations from the previous year in order to assess the historical appropriateness of the management's forecasting process.
- Tested mathematical accuracy of calculations and analysed the sensitivity.
- Assessed the effectiveness of design and operation of management's review controls.

(2) Revenue recognition of CMO

Why it is determined to be a Key Audit Matter

The Group operates a CMO (Contract Manufacturing Organization) business which is responsible for the production of bio-medicine. The Group's revenue recognition process primarily includes technology transfer procedures, regulatory approval procedures, and commercial production procedures. The Group recognizes revenue over the period of time as the control over produced bio-medicine is transferred to the customers (Note 2).

We determined that revenue recognition of the CMO to be a key audit matter as the revenue of the CMO business comprises a material portion of the Group's consolidated financial statements, and the determination of the amount and timing of revenue recognition involves significant judgement and estimates of management.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the CMO revenue recognition are as follows.

- Assessed the reasonableness of the accounting policy in relation to revenue recognition.
- Obtained an understanding and evaluated internal controls over the determination of the amount and timing of revenue recognition.
- Inspected contracts for a sample of projects to assess the appropriateness of revenue recognition accounting.
- Assessed the appropriateness of the determination of the amount and revenue recognition point by project through audit sampling.
- Performed independent recalculation of the progress by project and the contract assets and liabilities through audit sampling.

(3) Existence of construction-in-progress and occurrence of related acquisition

Why it is determined to be a Key Audit Matter

The Group is in the progress of constructing a fourth plant to expand the production facility of bio-medicine, and the expenses incurred for the construction amounting to ₩ 524 billion are recognized as construction-in-progress (Note 2). We determined that the existence of construction-in-progress and occurrence of related acquisition to be a key audit matter, as construction-in-progress in relation to the construction of plant comprises a material portion of the Group's consolidated financial statements and in consideration of the inherent risk that the existence and occurrence of construction-in-progress are difficult to verify after the completion of construction.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to accounting for construction-in-progress are as follows.

- Obtained an understanding and evaluated internal controls over management and payment of construction.
- Inspected contracts of acquisition of construction-in-progress through audit sampling and reconciled the book with supporting documents such as request for progress payment.
- Performed a physical examination of major assets of construction-in-progress through audit sampling.

- Reviewed supporting documents for the payment related to the construction.

Other Matter

Auditing standards and their application in practice vary among countries. The procedures and practices used in the Republic of Korea to audit such financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Korean IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Korean Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Korean Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's

report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Joonki Hong, Certified Public Accountant.

Samit PricewaterhouseCoopers

Seoul, Korea
March 2, 2022

This report is effective as of March 2, 2022, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying consolidated financial statements and notes thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd.
Consolidated Statements of Financial Position
December 31, 2021 and 2020

<i>(in Korean won)</i>	Notes	2021	2020
Assets			
Current assets			
Cash and cash equivalents	5,6,34	₩ 47,410,383,773	₩ 28,850,120,614
Short-term financial instruments	5,34	450,000,000,000	300,000,000,000
Financial assets at fair value through profit or loss	5,34	850,039,876,800	500,046,402,614
Trade and other receivables	5,8,32,34	366,330,684,127	217,932,307,826
Inventories	10,26	1,012,870,791,066	645,960,096,442
Contract assets	9,34	63,910,843,988	27,864,867,897
Other current financial assets	5,11,34	23,984,945,243	23,555,628,697
Other current assets	12	8,627,800,354	7,137,823,863
		<u>2,823,175,325,351</u>	<u>1,751,347,247,953</u>
Non-current assets			
Long-term financial instruments	5,7,34	189,491,294	174,482,520
Trade and other receivables	5,8,32,34	4,428,344,378	28,671,558,645
Investments in associates and joint ventures	13	2,661,309,486,003	2,634,428,493,852
Investment properties	14	-	20,247,960,657
Property, plant and equipment	15	2,207,063,705,617	1,736,567,289,165
Intangible assets	16	32,171,618,395	23,344,605,855
Right-of-use asset	20	20,623,773,334	24,160,224,188
Net defined benefit assets	22	3,572,380,111	11,900,143,741
Contract assets	9,34	189,331,100,143	168,891,554,301
Other non-current financial assets	5,11,34	26,919,379,491	23,184,192,134
Other non-current assets	12	1,226,182,746	1,283,411,951
		<u>5,146,835,461,512</u>	<u>4,672,853,917,009</u>
Total assets		<u>₩ 7,970,010,786,863</u>	<u>₩ 6,424,201,164,962</u>

Samsung Biologics Co., Ltd.
Consolidated Statements of Financial Position
December 31, 2021 and 2020

Liabilities

Current liabilities

Trade and other payables	5,18,22,32,34 ₩	399,030,093,590	₩	185,176,705,934
Emission liability	19	725,692,500		427,059,724
Debentures and borrowings	5,17,31,33,34	159,855,000,000		190,907,459,006
Contract liabilities	9,32	65,563,229,062		23,430,303,328
Lease liabilities	5,20,33,34	7,537,132,303		6,532,620,565
Current tax liabilities		110,174,301,963		23,259,655,164
Other current liabilities	9,21,32	364,409,200,047		159,567,115,745
		<u>1,107,294,649,465</u>		<u>589,300,919,466</u>

Non-current liabilities

Trade and other payables	5,18,22,32,34	9,152,703,103		9,443,625,231
Debentures and borrowings	5,17,31,33,34	1,114,683,996,094		571,450,898,845
Derivative liabilities	5	-		1,265,011,918
Contract liabilities	9,32	220,058,599,452		173,686,568,977
Lease liabilities	5,20,33,34	10,671,166,108		16,014,284,199
Deferred tax liabilities, net	29	487,711,642,843		449,847,440,408
Other non-current liabilities	9,21,32	29,335,889,118		14,409,243,554
		<u>1,871,613,996,718</u>		<u>1,236,117,073,132</u>

Total liabilities

<u>2,978,908,646,183</u>	<u>1,825,417,992,598</u>
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Equity

Share capital	1,23	165,412,500,000		165,412,500,000
Share premium	23	2,487,313,082,024		2,487,313,082,024
Accumulated other comprehensive loss	13,22,23	(8,810,638,260)		(7,540,138,921)
Retained earnings		2,347,187,196,916		1,953,597,729,261

Total equity

<u>4,991,102,140,680</u>	<u>4,598,783,172,364</u>
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Total liabilities and equity

<u>₩ 7,970,010,786,863</u>	<u>₩ 6,424,201,164,962</u>
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The above consolidated statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Consolidated Statements of Comprehensive Income
Years Ended December 31, 2021 and 2020

<i>(in Korean won)</i>	Note	2021	2020
Revenue	4,24,32	₩ 1,568,006,928,039	₩ 1,164,776,873,641
Cost of revenue	9,10,24,26,32	<u>(841,555,562,592)</u>	<u>(748,700,763,470)</u>
Gross profit		<u>726,451,365,447</u>	<u>416,076,110,171</u>
Selling, general and administrative expenses	25,26,32	<u>(189,141,957,375)</u>	<u>(123,289,556,089)</u>
Operating profit		<u>537,309,408,072</u>	<u>292,786,554,082</u>
Other income	27,32	414,264,803	2,568,786,561
Other expenses	27	(8,742,667,978)	(3,490,386,092)
Finance income	5,28	47,589,449,930	32,774,534,985
Finance costs	5,28	(29,140,999,592)	(40,879,632,723)
Share of profit (loss) of associates and joint ventures	13	<u>13,853,142,056</u>	<u>(17,767,693,975)</u>
Profit before income tax		<u>561,282,597,291</u>	<u>265,992,162,838</u>
Income tax expense	29	<u>(167,693,129,636)</u>	<u>(25,017,362,875)</u>
Profit for the year		<u>₩ 393,589,467,655</u>	<u>₩ 240,974,799,963</u>
Profit attributable to:			
Owners of the Parent Company		₩ 393,589,467,655	₩ 240,974,799,963
Non-controlling interests		-	-
Other comprehensive income (loss)			
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurements of net defined benefit liabilities	22,23	₩ (2,746,276,917)	₩ 6,130,541,689
Share of other comprehensive income (loss) of associates and joint ventures	13,23	461,315,413	(440,431,300)
<i>Items that may be subsequently reclassified to profit or loss</i>			
Foreign currency translation gain (loss)	23	993,321,358	(1,037,503,195)
Share of other comprehensive income (loss) of associates and joint ventures	13,23	<u>21,140,807</u>	<u>(1,297,980,159)</u>
Other comprehensive income (loss) for the year, net of tax		<u>(1,270,499,339)</u>	<u>3,354,627,035</u>
Total comprehensive income for the year		<u>₩ 392,318,968,316</u>	<u>₩ 244,329,426,998</u>
Total comprehensive income for the year is attributed to:			
Owners of the Parent Company		₩ 392,318,968,316	₩ 244,329,426,998
Non-controlling interests		-	-
Earnings per share			
Basic and diluted earnings per share	30	₩ 5,949	₩ 3,642

The above consolidated statements of comprehensive income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Consolidated Statements of Changes in Equity
Years Ended December 31, 2021 and 2020

(in Korean won)

	Notes	Share capital	Share premium	Accumulated other comprehensive income(loss)	Retained earnings	Non-controlling interests	Total
Balance at January 1, 2020		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (10,894,765,956)	₩ 1,712,622,929,298	₩ -	₩ 4,354,453,745,366
Total comprehensive income							
Profit for the year		-	-	-	240,974,799,963	-	240,974,799,963
Other comprehensive income (loss)							
Remeasurements of net defined benefit liabilities	22,23	-	-	6,130,541,689	-	-	6,130,541,689
Foreign currency translation loss	23	-	-	(1,037,503,195)	-	-	(1,037,503,195)
Share of other comprehensive loss of associate and joint venture	13,23	-	-	(1,738,411,459)	-	-	(1,738,411,459)
Total comprehensive income for the period		-	-	3,354,627,035	240,974,799,963	-	244,329,426,998
Balance at December 31, 2020		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (7,540,138,921)	₩ 1,953,597,729,261	₩ -	₩ 4,598,783,172,364
Balance at January 1, 2021		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (7,540,138,921)	₩ 1,953,597,729,261	-	₩ 4,598,783,172,364
Total comprehensive income(loss)							
Profit for the year		-	-	-	393,589,467,655	-	393,589,467,655
Other comprehensive income (loss)							
Remeasurements of net defined benefit liabilities	22,23	-	-	(2,746,276,917)	-	-	(2,746,276,917)
Foreign currency translation gain	23	-	-	993,321,358	-	-	993,321,358
Share of other comprehensive income of associate and joint venture	13,23	-	-	482,456,220	-	-	482,456,220
Total comprehensive income (loss) for the period		-	-	(1,270,499,339)	393,589,467,655	-	392,318,968,316
Balance at December 31, 2021		₩ 165,412,500,000	₩ 2,487,313,082,024	₩ (8,810,638,260)	₩ 2,347,187,196,916	₩ -	₩ 4,991,102,140,680

The above consolidated statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd.
Consolidated Statements of Cash Flows
Years Ended December 31, 2021 and 2020

<i>(in Korean won)</i>	Notes	2021	2020
Cash flows from operating activities			
Profit for the year	₩	393,589,467,655	₩ 240,974,799,963
Adjustments for:			
Retirement benefits	22	20,103,946,294	20,626,017,916
Depreciation of investment properties	14	-	513,132,188
Depreciation	15,25,26	144,061,397,315	131,414,806,510
Amortization of intangible assets	16,25,26	6,725,661,312	6,107,637,985
Depreciation of right-of-use asset	20	11,001,591,240	5,652,428,296
(Reversal of) Loss on valuation of inventories	10	3,346,478,842	(9,118,583,582)
Impairment loss on contract assets	9	725,886,640	-
Loss on retirement of property, plant and equipment	27	6,403,663,122	1,391,318,947
Gain on disposal of property, plant and equipment	27	(36,828,097)	(30,985,605)
Loss on disposal of property, plant and equipment	27	3,457,427	4,117,834
Loss on retirement of intangible assets	27	1,095,514,008	476,756,683
Impairment loss on intangible assets	27	-	1,352,349,797
Gain on foreign currency translations	28	(7,743,465,401)	(4,344,394,055)
Loss on foreign currency translations	28	5,389,216,720	7,367,178,048
Gain on valuation of derivatives	5,28	(5,356,982,975)	-
Loss on valuation of derivatives	5,28	-	2,268,002,350
Cost of emissions	19	725,692,500	427,059,724
Interest income	5,28	(9,655,916,323)	(13,140,465,252)
Interest expenses	5,28	14,707,182,374	16,085,622,354
Gain on valuation of financial assets at fair value through profit or loss	5,28	(86,522,539)	(185,480,425)
Gain on disposal of financial assets at fair value through profit or loss	5,28	(182,600,036)	(118,474,724)
Bad debt expense	8	4,857,447,879	-
Share of loss (profit) of associates and joint ventures	13,35	(13,853,142,056)	17,767,693,975
Income tax expense	29	167,693,129,636	25,017,362,875
Others		(304,253,983)	(199,889,774)
		<u>349,620,553,899</u>	<u>209,333,212,065</u>
Change in operating assets and liabilities:			
Trade and other receivables		(120,659,699,353)	(61,480,420,529)
Inventories		(370,570,855,138)	(184,885,325,809)
Deposits provided		97,035,167	(2,404,924,051)
Contract assets		(55,990,799,230)	(46,046,832,123)
Other assets		(1,349,448,096)	(2,812,230,698)
Trade and other payables		21,059,838,368	58,252,592,899
Contract liabilities		88,504,956,209	51,987,615,825
Emission liability		(427,059,724)	(553,852,695)
Advance receipts		215,803,582,847	22,587,528,795
Other liabilities		3,937,849,367	688,692,009
Retirement benefits paid	22	(4,095,377,068)	(1,628,397,002)

Samsung Biologics Co., Ltd.
Consolidated Statements of Cash Flows
Years Ended December 31, 2021 and 2020

Transfer from affiliates of defined benefit liabilities	22	90,000,000	437,475,000
Contributions to plan assets	22	(11,240,520,045)	(37,676,749,074)
		<u>(234,840,496,696)</u>	<u>(203,534,827,453)</u>
Interest received		7,189,059,882	9,375,846,718
Interest paid		(18,593,851,920)	(15,629,886,952)
Income tax paid		<u>(42,368,515,551)</u>	<u>(38,429,117,800)</u>
Net cash inflow from operating activities		<u>454,596,217,269</u>	<u>202,090,026,541</u>
Cash flows from investing activities			
Decrease in short-term financial instruments		3,150,000,000,000	2,570,000,000,000
Decrease in financial assets at fair value through profit or loss		2,190,000,000,000	1,540,000,000,000
Disposal of property, plant and equipment		37,635,000	47,687,855
Increase in short-term financial instruments		(3,300,000,000,000)	(2,550,000,000,000)
Increase in long-term financial instruments		-	(167,482,520)
Increase in financial assets at fair value through profit or loss		(2,540,000,000,000)	(1,830,000,000,000)
Acquisition of property, plant and equipment		(406,253,514,919)	(139,664,805,056)
Acquisition of intangible assets		(14,898,311,036)	(8,901,227,656)
Acquisition of investments in associates	13	<u>(12,375,000,000)</u>	<u>-</u>
Net cash outflow from investing activities		<u>(933,489,190,955)</u>	<u>(418,685,827,377)</u>
Cash flows from financing activities			
Proceeds from issuance of debentures	17,33	498,436,060,000	-
Proceeds from short-term borrowings	17,33	50,000,000,000	30,000,000,000
Proceeds from long-term borrowings	17,33	149,920,000,000	499,952,000,000
Repayment of debentures	17,33	(150,000,000,000)	-
Repayment of short-term borrowings	17,33	(30,000,000,000)	(150,000,000,000)
Repayment of current portion of long-term borrowings	17,33	(10,980,000,000)	(251,650,000,000)
Repayment of lease liabilities	20,33	<u>(10,753,924,352)</u>	<u>(5,741,881,665)</u>
Net cash inflow from financing activities		<u>496,622,135,648</u>	<u>122,560,118,335</u>
Net increase (decrease) in cash and cash equivalents		17,729,161,962	(94,035,682,501)
Cash and cash equivalents at the beginning of the year		28,850,120,614	125,100,653,179
Effects of exchange rate changes		<u>831,101,197</u>	<u>(2,214,850,064)</u>
Cash and cash equivalents at the end of the year		<u>₩ 47,410,383,773</u>	<u>₩ 28,850,120,614</u>

The above consolidated statements of cash flows should be read in conjunction with the accompanying notes.

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1. General Information

Samsung Biologics Co., Ltd. (the "Company") was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in Biosimilar manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, The Republic of Korea. The Company was listed on securities market on November 10, 2016. As at December 31, 2021, the Company's share capital is ₩ 165,413 million.

The shareholders of the Company as at December 31, 2021, are as follows:

Shareholder	Number of shares	Percentage of ownership (%)
Samsung C&T Corporation	28,742,466	43.44
Samsung Electronics Co., Ltd.	20,836,832	31.49
Others	16,585,702	25.07
	<u>66,165,000</u>	<u>100.00</u>

Samsung Biologics Co., Ltd. (the "Company", a controlling company in accordance with International Financial Reporting Standards as adopted by the Republic of Korea ("Korean IFRS") 1110 *Consolidated Financial Statements*) and a subsidiary (collectively referred to as the "Group") prepared the consolidated financial statements accounting for the investments in associates and joint ventures using the equity method.

1.1 Consolidated Subsidiary

Details of the consolidated subsidiary as at December 31, 2021 and 2020, are as follows:

	Location	Percentage ownership (%)		Main business	Closing month
		2021	2020		
Samsung Biologics America, Inc.	USA	100.00	100.00	Bio-medicine development	December

Summarized financial information for consolidated subsidiary as at and for the years ended December 30, 2021 and 2020, are as follows:

(in thousands of Korean won)	2021					
	Assets	Liabilities	Equity	Sales	Profit for the year	Total comprehensive income ¹
Samsung Biologics America, Inc.	₩ 16,128,560	₩ 3,809,799	₩ 12,318,761	₩ 6,842,430	₩ 404,215	₩ 1,397,536

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¹ It includes foreign currency translation.

(in thousands of Korean won)	2020					
	Assets	Liabilities	Equity	Sales	Profit for the year	Total comprehensive loss ¹
Samsung Biologics America, Inc.	₩ 15,398,012	₩ 4,476,787	₩ 10,921,225	₩ 1,129,723	₩ 44,727	₩ (992,776)

¹ It includes foreign currency translation.

1.2 Changes in Scope for Consolidation

There is no subsidiary newly included in the consolidation during the year ended December 31, 2021.

2. Significant Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation

The Group maintains its accounting records in Korean won and prepares statutory consolidated financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS). The accompanying consolidated financial statements have been condensed, restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Company's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The financial statements of the Company have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and

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- Defined benefit pension plans – plan assets measured at fair value.

The preparation of financial statements requires the use of critical accounting estimates. Management also needs to exercise judgement in applying the Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Group

The Group has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2021.

(a) Amendments to Korean IFRS 1116 Lease – Practical expedient for COVID-19 - Related Rent Concessions

As a practical expedient, a lessee may elect not to assess whether a rent concession occurring as a direct consequence of the COVID-19 pandemic is a lease modification. A lessee that makes this election shall account for any change in lease payments resulting from the rent concession the same way it would account for the change applying this Standard if the change were not a lease modification. The amendment does not have a significant impact on the financial statements.

(b) Amendments to Korean IFRS 1109 Financial Instruments, Korean IFRS 1039 Financial Instruments: Recognition and Measurement, Korean IFRS 1107 Financial Instruments: Disclosure, Korean IFRS 1104 Insurance Contracts and Korean IFRS 1116 Lease – Interest Rate Benchmark Reform (Phase 2 amendments)

In relation to interest rate benchmark reform, the amendments provide exceptions including adjust effective interest rate instead of book amounts when interest rate benchmark of financial instruments at amortized costs is replaced, and apply hedge accounting without discontinuance although the interest rate benchmark is replaced in hedging relationship. The amendment does not have a significant impact on the financial statements.

(c) Amendment to Korean IFRS 1116 - Covid-19 - Related Rent Concessions beyond June 30, 2021

The application of the practical expedient, a lessee may elect not to assess whether a rent concession occurring as a direct consequence of the COVID-19 pandemic is a lease modification, is extended to lease payments originally due on or before June 30, 2022. A lessee shall apply the practical expedient consistently to eligible contracts with similar characteristics and in similar circumstances. The Group early adopted the amendment to Korean IFRS 1116, and the amendment does not have a significant impact on the financial statements.

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(d) Korean IFRS 1012 Income Taxes - Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments include an additional condition to the exemption to initial recognition of an asset or liability that a transaction does not give rise to equal taxable and deductible temporary differences at the time of the transaction. The Group early adopted the amendment to Korean IFRS 1012, and the amendment does not have a significant impact on the financial statements.

2.2.2 New standards and interpretations not yet adopted by the Group

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2021 reporting periods and have not been early adopted by the Group.

(a) Amendments to Korean IFRS 1103 Business Combination – Reference to the Conceptual Framework

The amendments update the definition of assets and liabilities to be recognized in a business combination in accordance with the revised Conceptual Framework for Financial Reporting. However, the amendments add an exception for the recognition of liabilities and contingent liabilities within the scope of Korea IFRS 1037 *Provisions, Contingent Liabilities and Contingent Assets*, and Korean IFRS 2121 *Levies*. The amendments also clarify that contingent assets should not be recognized at the acquisition date. The amendments should be applied for the annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the financial statements.

(b) Amendments to Korean IFRS 1016 Property, Plant and Equipment - Proceeds before intended use

The amendments prohibit an entity from deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced while the entity is preparing the asset for its intended use. Instead, the entity will recognize the proceeds from selling such items, and the costs of producing those items, in profit or loss. The amendments should be applied for annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the financial statements.

(c) Amendments to Korean IFRS 1037 Provisions, Contingent Liabilities and Contingent Assets - Onerous Contracts: Cost of Fulfilling a Contract

The amendments clarify that the direct costs of fulfilling a contract include both the incremental costs of fulfilling the contract and an allocation of other costs directly related to fulfilling contracts when assessing whether the contract is onerous. The amendments should be applied for annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the financial statements.

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(d) Amendments to Korean IFRS 1001 Presentation of Financial Statements - Classification of Liabilities as Current or Non-current

The amendments clarify that liabilities are classified as either current or non-current, depending on the substantive rights that exist at the end of the reporting period. Classification is unaffected by the likelihood that an entity will exercise right to defer settlement of the liability or the expectations of management. Also, the settlement of liability includes the transfer of the entity's own equity instruments, however, it would be excluded if an option to settle the compound financial instrument by the entity's own equity instruments meets the definition of equity instruments and was recognized separately from the liability. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the financial statements.

(e) Korean IFRS 1001 Presentation of Financial Statements - Disclosure of Accounting Policies

The amendments to Korean IFRS 1001 define and require entities to disclose their material accounting policies. The IASB amended IFRS Practice Statement 2 *Disclosure of Accounting Policies* to provide guidance on how to apply the concept of materiality to accounting policy disclosures. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the financial statements.

(f) Korean IFRS 1008 Accounting policies, changes in accounting estimates and errors - Definition of Accounting Estimates

The amendments define accounting estimates and clarify how to distinguish them from changes in accounting policies. The amendments should be applied for annual periods beginning on or after January 1, 2023, and earlier application is permitted. The Group is in review for the impact of these amendments on the financial statements.

(g) Annual improvements to Korean IFRS 2018-2020

Annual improvements of Korean IFRS 2018-2020 Cycle should be applied for annual periods beginning on or after January 1, 2022, and earlier application is permitted. The Group does not expect that these amendments have a significant impact on the financial statements.

- Korean IFRS 1101 *First time Adoption of Korean International Financial Reporting Standards* – Subsidiaries that are first-time adopters
- Korean IFRS 1109 *Financial Instruments* – Fees related to the 10% test for derecognition of financial liabilities
- Korean IFRS 1116 *Leases* – Lease incentives
- Korean IFRS 1041 *Agriculture* – Measuring fair value

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2.3 Consolidation

The Group has prepared the consolidated financial statements in accordance with Korean IFRS 1110 *Consolidated Financial Statements*.

(a) Subsidiaries

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group. The consideration transferred is measured at the fair values of the assets transferred, and identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognizes any non-controlling interest in the acquired entity that is provided a proportionate share in the case of liquidation on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets. All other non-controlling interests are measured at fair values, unless otherwise required by other standards. Acquisition-related costs are expensed as incurred.

The excess of consideration transferred, amount of any non-controlling interest in the acquired entity and acquisition-date fair value of any previous equity interest in the acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognized directly in the profit or loss as a bargain purchase.

Intercompany transactions, balances and unrealized gains on transactions between group companies are eliminated. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Parent Company. Any difference between the amount of the adjustment to non-controlling interest and any consideration paid or received is recognized in a separate reserve within equity attributable to owners of the Parent Company.

When the Group ceases to consolidate for a subsidiary because of a loss of control, any retained interest in the subsidiary is remeasured to its fair value with the changed in carrying amount recognized in profit or loss.

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(b) Associates and joint ventures

Associates are those entities in which the Company has significant influence, but no control or joint control, over the financial and operating policies.

A joint venture is an arrangement in which the Company has joint control, whereby the Company has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in associates and joint ventures are accounted for using the equity method of accounting, after initially being recognized at cost. Unrealized gains on transactions between the Group and its associates and joint ventures are eliminated to the extent of the Group's interest in the associates and joint ventures. If the Group's share of losses of an associate and joint venture equals or exceeds its interest in the associate and joint venture (including long-term interests that, in substance, form part of the Group's net investment in the associate and joint venture), the Group discontinues recognizing its share of further losses. After the Group's interest is reduced to zero, additional losses are provided for, and a liability is recognized, only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

If there is an objective evidence of impairment for the investment in the associate and joint venture, the Group recognizes the difference between the recoverable amount of the associate and joint venture and its book amount as impairment loss. If an associate and joint venture uses accounting policies other than those of the Group for like transactions and events in similar circumstances, if necessary, adjustments shall be made to make the accounting policies of the associate and joint venture conform to those of the Group when the financial statements of the associate and joint venture are used by the Group in applying the equity method.

2.4 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Group are measured using the currency of the primary economic environment in which each entity operates (the "functional currency"). The consolidated financial statements are presented in Korean won, which is the Group's functional and presentation currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in

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foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognized in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities held at fair value through other comprehensive income are recognized in other comprehensive income.

2.6 Financial Assets

(a) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured at amortized cost
- those to be measured at fair value through other comprehensive income, and
- those to be measured at fair value through profit or loss.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. The Group reclassifies debt investments when, and only when its business model for managing those assets changes.

For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income. Changes in fair value of non-designated equity investment are recognized in profit or loss.

(b) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

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A. Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. The Group classifies its debt instruments into one of the following three measurement categories:

- **Amortized cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is derecognized or impaired. Interest income from these financial assets is included in 'finance income' using the effective interest rate method.
- **Fair value through other comprehensive income:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income. Movements in the carrying amount are taken through other comprehensive income, except for the recognition of impairment loss (reversal of impairment loss), interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss.
- **Fair value through profit or loss:** Assets that do not meet the criteria for amortized cost or fair value through other comprehensive income are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in 'finance income or costs'.

B. Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments, which are held for long-term investments or strategic purposes, in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investments. Dividend income from such investments continue to be recognized as 'finance income' when the right to receive payments is established.

Changes in the fair value of financial assets at fair value through profit or loss are recognized in 'finance income and expenses'. Impairment loss (reversal of impairment loss) on equity investments measured at fair value through other comprehensive income are not reported separately.

(c) Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and fair value through other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables and lease receivables, the Group applies the simplified approach, which requires expected lifetime credit losses to be recognized from initial recognition

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of the receivables.

(d) Recognition and Derecognition

Regular way purchases and sales of financial assets are recognized or derecognized on the trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

If a transfer does not result in derecognition because the Group has retained substantially all the risks and rewards of ownership of the transferred asset, the Group continues to recognize the transferred asset in its entirety and recognizes a financial liability for the consideration received.

(e) Offsetting of financial instruments

Financial assets and liabilities are offset and reported in the statement of financial position where there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the assets and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and also in the event of default, insolvency or bankruptcy of the Group or the counterparty.

2.7 Derivative Instruments

Derivatives are initially recognized at fair value on the date when a derivative contract is entered into and are subsequently remeasured at their fair value at the end of each reporting period. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognized immediately in profit or loss based on the nature of transactions.

2.8 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components and are recognized at fair value.

2.9 Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the individual method or moving weighted average method. The cost of inventories includes expenditures for acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition.

Inventories are measured at the lower of cost and net realizable value. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an

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expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognized as a reduction in the amount of inventories recognized as cost of revenue in the period in which the reversal occurs.

2.10 Property, Plant and Equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses.

Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized as expense during the financial period in which they are incurred.

Depreciation of all property, plant and equipment, except for land, is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives as follows:

	Useful lives
Buildings and Structures	40 years
Machinery	5 ~ 15
Vehicles	4
Others	4

The assets' depreciation method, residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognized in profit or loss.

2.11 Borrowing Costs

The Group capitalizes borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset as part of the cost of that asset. Other borrowing costs are recognized in expense as incurred. A qualifying asset is an asset that requires a substantial period of time to get ready for its intended use or sale. Financial assets and inventories that are manufactured or otherwise produced over a short period of time are not qualifying assets. Assets that are ready for their intended use or sale when acquired are not qualifying assets.

To the extent that the Group borrows funds specifically for the purpose of obtaining a qualifying

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asset, the Group determines the amount of borrowing costs eligible for capitalization as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. To the extent that the Group borrows funds generally and uses them for the purpose of obtaining a qualifying asset, the Group shall determine the amount of borrowing costs eligible for capitalization by applying a capitalization rate to the expenditures on that asset. The capitalization rate shall be the weighted average of the borrowing costs applicable to the borrowings of the Group that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs that the Group capitalizes during a period shall not exceed the amount of borrowing costs incurred during that period.

2.12 Government Grants

Grants from the government are recognized at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all attached conditions.

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Group is exempt from the full amount of rent because the Company meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

2.13 Intangible Assets

Intangible assets are initially recognized at its historical cost, and carried at cost less accumulated amortization and accumulated impairment losses.

Subsequent expenditures are capitalized only when they increase the future economic benefits embodied in the specific asset to which it relates. All other expenditures, including expenditures on internally generated goodwill, are recognized in profit or loss as incurred.

Amortization of intangible assets is calculated on a straight-line basis over the following estimated useful lives of intangible assets from the date that they are available for use. The residual value of intangible assets is zero. However, as there are no foreseeable limits to the periods over which memberships are expected to be available for use, they are determined as having indefinite useful lives and are not amortized.

	Useful lives
Software	5 years
Other intangible assets	5
Land use rights	50
Memberships	indefinite
Trademarks	10

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Useful lives and the amortization methods for intangible assets with finite useful lives are reviewed at the end of each reporting period. The useful lives of intangible assets that are not being amortized are reviewed at the end of each reporting period to determine whether events and circumstances continue to support indefinite useful life assessments for those assets. Changes are accounted for as changes in accounting estimates.

2.14 Investment Property

Investment property is property (including right-of-use assets) held to earn rentals or for capital appreciation or both. An investment property is measured initially at its cost. An investment property is measured after initial measurement at depreciated cost (less any accumulated impairment losses). After recognition as an asset, investment property is carried at cost less accumulated depreciation and impairment losses.

2.15 Impairment of Non-financial Assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.16 Trade and Other Payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of reporting period which are unpaid. Trade and other payables are presented as current liabilities, unless payment is not due within 12 months after the reporting period. They are recognized initially at their fair value and subsequently measured at amortized cost using the effective interest method.

2.17 Financial Liabilities

(a) Classification and measurement

The Group's financial liabilities at fair value through profit or loss are financial instruments held for trading. A financial liability is held for trading if it is incurred principally for the purpose of repurchasing in the near term. A derivative that is not designated as a hedging instrument and an embedded derivative that is separated are also classified as held for trading.

The Group classifies non-derivative financial liabilities, except for financial liabilities at fair value through profit or loss, financial guarantee contracts and financial liabilities that arise when a transfer of financial assets does not qualify for derecognition, as financial liabilities carried at amortized cost and present as 'trade and other payables' and 'debentures and borrowings' in the

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statement of financial position.

(b) Derecognition

Financial liabilities are removed from the statement of financial position when it is extinguished; for example, when the obligation specified in the contract is discharged or cancelled or expired or when the terms of an existing financial liability are substantially modified. The difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

2.18 Provisions and Contingencies

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, and it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period, and the increase in the provision due to the passage of time is recognized as interest expense.

A contingent liability is disclosed when; - a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or - a present obligation that arises from past events but is not recognized because: it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

2.19 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the best estimate of expenditure required to settle the obligation at the end of the reporting period for the gas emissions in excess of the emission permits. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.20 Current and Deferred Tax

The tax expense for the period consists of current and deferred tax. Current and deferred tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax expense is measured at the amount expected to be paid to the taxation authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by

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the end of the reporting period. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation, and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is provided in full on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting profit nor taxable profit or loss.

Deferred tax assets are recognized only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses.

The Group recognizes a deferred tax liability all taxable temporary differences associated with investments in associates, and interests in joint arrangements, except to the extent that the Group is able to control the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. In addition, The Group recognizes a deferred tax asset for all deductible temporary differences arising from such investments to the extent that it is probable the temporary difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilized.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset when the Group has a legally enforceable right to offset and intends either to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.21 Employee Benefits

(a) Short-term employee benefits

Short-term employee benefits are employee benefits that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services. When an employee has rendered service to the Group during an accounting period, the Group recognizes the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service.

(b) Other long-term employee benefits

Other long-term employee benefits include employee benefits that are settled beyond 12 months after the end of the period in which the employees render the related service, and are calculated at the present value of the amount of future benefit that employees have earned in return for their services in the current and prior periods. Any changes from re-measurements are recognized

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through profit or loss in the period in which they arise.

(c) Post-employment benefits

The Group operates both defined contribution and defined benefit pension plans.

For defined contribution plans, the Group pays contribution to publicly or privately administered pension insurance plans on mandatory, contractual or voluntary basis. The Group has no further payment obligation once the contribution has been paid. The contribution is recognized as employee benefit expense when they are due.

A defined benefit plan is a pension plan that is not a defined contribution plan. Generally, post-employment benefits are payable after the completion of employment, and the benefit amount depend on the employee's age, periods of service or salary levels. The liability recognized in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur, directly in other comprehensive income.

Changes in the present value of the defined benefit obligation resulting from plan amendments, curtailments or settlements are recognized immediately in profit or loss as past service costs.

2.22 Contributed Capital

Ordinary shares are classified as equity. Transaction costs directly related to the issuance of ordinary shares and share options are recognized as a deduction from equity.

2.23 Earnings per Share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held. The Group has no dilutive potential shares, therefore diluted loss per share is equal to the basic earnings (loss) per share.

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2.24 Revenue Recognition

(a) Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Group manufactures and supplies made-to-order bio-medicine. Services mandatorily rendered prior to a production of bio-medicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of bio-medicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

The Group provides cell line and upstream/downstream process development services. The Group recognizes cell line and upstream/downstream process development services as distinct performance obligations.

(b) Performance obligation satisfied over time

- CMO business

Goods manufactured by the Group do not have an alternative use to the Group, and it has an enforceable right to payment for performance completed to date. This is because that the Group produces bio-medicine at a quality that a customer requires and is entitled to reimbursement of the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Group recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

- CDO business

Revenue is recognized over time during the research period of each service as a customer simultaneously receives and consumes the benefits provided by the Group as the Group performs research and development services.

(c) Costs to fulfill a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future, and the costs are expected to be recovered, the costs are recognized as assets. And the costs to fulfill a contract are recognized as cost of revenue based on the percentage of completion.

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(d) Contract assets and contract liabilities

- CMO business

The Group recognizes the amount of the advance consideration by customers related to the transfer of technology or engineering batch production as contract liabilities and related costs as costs to fulfil a contract. Such activities are required in advance for the production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Group estimates the amount of consideration to which the Group will be entitled to in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

2.25 Leases

(a) Lessor

Lease income from operating leases where the Group is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) Lessee

The Group leases various offices, equipments and vehicles. Lease contracts are typically made for a fixed periods of 2 to 3 years, but may have extension options. Contracts may contain both lease and non-lease components. However, for leases of real estate for which the Group is

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lessee, the Group applies the practical expedient which has elected not to separate lease and non-lease components and instead accounts for these as a single lease component.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability measurement also include payments to be made in the option periods if the lessee is reasonably certain to exercise the option to extend the lease.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Group is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life. The Group elected not to apply that revaluation model to buildings held by the Company that are presented in the right-of-use assets.

Short-term leases are leases with a lease term of 12 months or less. Low-value assets are comprised of IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

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2.26 Approval of Issuance of the Financial Statements

The consolidated financial statements 2021 were approved for issue by the Board of Directors on January 24, 2022 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Significant Accounting Estimates and Assumptions

The preparation of financial statements requires the Group to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Group's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it can contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in the relevant notes.

(a) Income taxes

The Group's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 29).

If certain portion of the taxable income is not used for investments or increase in wages or dividends, the Group is liable to pay additional income tax calculated based on the tax laws. Accordingly, the measurement of current and deferred income tax is affected by the tax effects from the new tax system. As the Group's income tax is dependent on the investments, increase in wages and dividends, there is an uncertainty in measuring the final tax effects.

(b) Impairment of investments in associates and joint ventures

The Group reviews whether there are any impairment indicators of investments in associates and joint ventures annually at the end of each reporting period. An impairment assessment is performed when it is determined that there is an indicator of impairment or considering the material amount of investments at the end of every year. The carrying value is compared to the recoverable amount, which is the higher of value in use and the fair value less costs to sell. An impairment loss is recognized immediately as an expense and is subsequently reversed as the recoverable amount of the investment subsequently increases.

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(c) Impairment of costs to fulfill a contract

The Group reviews whether there are any impairment indicators of costs to fulfil a contract at the end of each reporting period. The Group recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfil a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Impact of Coronavirus disease 2019 ("COVID-19")

Significant accounting estimates and assumptions applied in the preparation of the consolidated financial statements can be adjusted depending on changes in the uncertainty from COVID-19. However, the ultimate effect of COVID-19 to the Group's business, financial position and performance, and liquidity cannot presently be determined.

4. Operating Segments

The Group has disclosed information related to the operating segment in the financial statements in accordance with Korean IFRS 1108. The Group is consisted of the manufacturing segment, 'Biosimilar manufacturing', as at December 31, 2021.

Details of customers, who take over 10% of the Group's total revenue for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021		2020
Client A	₩	300,393,631	₩	228,547,835
Client B		104,083,549		121,762,788
Client C		150,396,090		-
Client D		275,379,070		259,056,971
Client E		180,062,394		62,192,400
	₩	<u>1,010,314,734</u>	₩	<u>671,559,994</u>

Geographic revenue for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021		2020
Domestic	₩	346,320,580	₩	296,608,407
Europe		753,818,548		527,492,992
USA		448,619,006		289,478,401
Other		19,248,794		51,197,074
	₩	<u>1,568,006,928</u>	₩	<u>1,164,776,874</u>

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5. Financial Instruments

(a) Financial assets

Categories of financial assets as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

(in thousands of Korean won)

	2021				
	Financial assets at fair value through profit or loss		Financial assets measured at amortized cost		Total
Current assets					
Cash and cash equivalents	₩	-	₩	47,410,384	₩ 47,410,384
Short-term financial instruments		-		450,000,000	450,000,000
Financial assets at fair value through profit or loss		850,039,877		-	850,039,877
Trade and other receivables		-		350,187,893	350,187,893
Loans		-		-	-
Deposits provided		-		23,984,945	23,984,945
		<u>850,039,877</u>		<u>871,583,222</u>	<u>1,721,623,099</u>
Non-current assets					
Long-term financial instruments		-		189,491	189,491
Trade and other receivables		-		4,428,344	4,428,344
Loans		-		-	-
Deposits provided		-		22,827,408	22,827,408
Derivative assets ¹		4,091,971		-	4,091,971
		<u>4,091,971</u>		<u>27,445,243</u>	<u>31,537,214</u>
	₩	854,131,848	₩	899,028,465	₩ 1,753,160,313

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(in thousands of Korean won)

(in thousands of Korean won)

	2020				
	Financial assets at fair value through profit or loss		Financial assets measured at amortized cost		Total
Current assets					
Cash and cash equivalents	₩	-	₩	28,850,121	₩ 28,850,121
Short-term financial instruments		-		300,000,000	300,000,000
Financial assets at fair value through profit or loss		500,046,403		-	500,046,403
Trade and other receivables		-		217,932,307	217,932,307
Loans		-		400,000	400,000
Deposits provided		-		23,155,629	23,155,629
		<u>500,046,403</u>		<u>570,338,057</u>	<u>1,070,384,460</u>
Non-current assets					
Long-term financial instruments		-		174,482	174,482
Trade and other receivables		-		28,671,559	28,671,559
Loans		-		300,000	300,000
Deposits provided		-		22,884,192	22,884,192
Derivative assets ¹		-		-	-
		<u>-</u>		<u>52,030,233</u>	<u>52,030,233</u>
	₩	500,046,403	₩	622,368,290	₩ 1,122,414,693

¹ Details of the derivatives from currency interest swap and interest swap into which the Group entered for foreign and Korean currency borrowings as at December 31, 2021, are as follows:

Classification	Category	Financial institution	Contracted amount	Contract date	Maturity date	Currency		Contracted exchange rate	Interest rate (%)	
						Sell	Buy		Receiving	Paying
Trading	Currency interest swap	Hana Bank	USD 30,000,000	2018-05-31	2023-05-31	USD	KRW	1,080	Libor(3M)+1.70	3.70
Trading	Currency interest swap	Woori Bank	USD 30,000,000	2021-08-30	2024-08-30	USD	KRW	1,164	Libor(3M)+1.20	2.15

Classification	Category	Financial institution	Contracted amount (in thousands of Korean won)	Contract date	Maturity date	Interest rate (%)	
						Receiving	Paying
Trading	Interest swap	Woori Bank	50,000,000	2020-09-28	2023-10-02	CD 91 days+1.23	2.25

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(b) Financial liabilities

Categories of financial liabilities as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

		2021			
		Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities					
Trade and other payables ¹	₩	-	₩ 342,930,338	₩ -	₩ 342,930,338
Debentures		-	-	-	-
Short-term borrowings		-	50,000,000	-	50,000,000
Current portion of long-term borrowings		-	109,855,000	-	109,855,000
Lease liabilities		-	-	7,537,132	7,537,132
		-	502,785,338	7,537,132	510,322,470
Non-current liabilities					
Trade and other payables ¹		-	2,648,496	-	2,648,496
Debentures		-	538,553,996	-	538,553,996
Long-term borrowings		-	576,130,000	-	576,130,000
Derivative liabilities ²		-	-	-	-
Lease liabilities		-	-	10,671,166	10,671,166
		-	1,117,332,492	10,671,166	1,128,003,658
	₩	-	₩ 1,620,117,830	₩ 18,208,298	₩ 1,638,326,128

(in thousands of Korean won)

		2020			
		Financial liabilities at fair value through profit or loss	Financial liabilities measured at amortized cost	Other liabilities	Total
Current liabilities					
Trade and other payables ¹	₩	-	₩ 144,261,210	₩ -	₩ 144,261,210
Debentures		-	149,927,459	-	149,927,459
Short-term borrowings		-	30,000,000	-	30,000,000
Current portion of long-term borrowings		-	10,980,000	-	10,980,000
Lease liabilities		-	-	6,532,621	6,532,621
		-	335,168,669	6,532,621	341,701,290
Non-current liabilities					
Trade and other payables ¹		-	4,671,378	-	4,671,378
Debentures		-	39,930,899	-	39,930,899
Long-term borrowings		-	531,520,000	-	531,520,000
Derivative liabilities ²	1,265,012	-	-	-	1,265,012
Lease liabilities		-	-	16,014,284	16,014,284
		1,265,012	576,122,277	16,014,284	593,401,573
	₩	1,265,012	₩ 911,290,946	₩ 22,546,905	₩ 935,102,863

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¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

² Details of the derivatives from currency interest swap and interest swap into which the Group entered for foreign and Korean currency borrowings as at December 31, 2021, are as follows:

Classification	Category	Financial institution	Contracted amount (in USD)	Contract date	Maturity date	Currency		Contracted exchange rate	Interest rate (%)	
						Sell	Buy		Receiving	Paying
Trading	Currency interest swap	Hana Bank	USD 30,000,000	2018-05-31	2023-05-31	USD	KRW	1,080	Libor(3M) + 1.70	3.70

Classification	Category	Financial institution	Contracted amount (in thousands of Korean won)	Contract date	Maturity date	Interest rate (%)	
						Receiving	Paying
Trading	Interest swap	Woori Bank	50,000,000	2020-09-28	2023-10-02	CD 91 days+1.23	2.25

(c) The fair values of financial instruments

The fair values of financial instruments, together with the carrying amounts shown in the statement of financial position as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	2021		2020	
	Carrying amount	Fair value	Carrying amount	Fair value
Assets measured at fair value				
Financial assets at fair value through profit or loss	₩ 850,039,877	₩ 850,039,877	₩ 500,046,403	₩ 500,046,403
Derivative assets	4,091,971	4,091,971	-	-
	<u>854,131,848</u>	<u>854,131,848</u>	<u>500,046,403</u>	<u>500,046,403</u>
Assets not measured fair value				
Cash and cash equivalents	47,410,384	47,410,384	28,850,121	28,850,121
Short-term financial instruments	450,000,000	450,000,000	300,000,000	300,000,000
Long-term financial instruments	189,491	189,491	174,482	174,482
Trade and other receivables	354,616,237	354,616,237	246,603,866	246,603,866
Loans	-	-	700,000	700,000
Deposits provided	46,812,354	46,812,354	46,039,821	46,039,821
	<u>899,028,466</u>	<u>899,028,466</u>	<u>622,368,290</u>	<u>622,368,290</u>
	<u>₩ 1,753,160,314</u>	<u>₩ 1,753,160,314</u>	<u>₩ 1,122,414,693</u>	<u>₩ 1,122,414,693</u>

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Liabilities carried at fair value				
Derivative liabilities	₩	-	₩	-
			₩	1,265,012
			₩	1,265,012
Liabilities carried at amortized cost				
Trade and other payables		345,578,834		345,578,834
Debt securities		538,553,996		538,553,996
Borrowings		735,985,000		735,985,000
		1,620,117,830		1,620,117,830
	₩	1,620,117,830	₩	1,620,117,830
			₩	912,555,958
			₩	912,555,958

(d) Fair value hierarchy

Items that are measured at fair value are categorized by the fair value hierarchy levels, and the defined levels are as follows:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date (Level 1).
- All inputs other than quoted prices included in level 1 that are observable (either directly that is, prices, or indirectly that is, derived from prices) for the asset or liability (Level 2).
- Unobservable inputs for the asset or liability (Level 3).

Fair value hierarchy classifications of the financial instruments that are measured at fair value as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 850,039,877	₩	-
Derivative assets		-	4,091,971	-	4,091,971
<i>(in thousands of Korean won)</i>		2020			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 500,046,403	₩	-
					₩ 500,046,403
Financial liabilities					
Derivative liabilities		-	1,265,012	-	1,265,012

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(e) Valuation techniques and inputs

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 2 at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	Fair value		Valuation techniques	Significant unobservable inputs
	2021	2020		
Financial assets at fair value through profit or loss	₩ 850,039,877	₩ 500,046,403	Market approach	-
Derivative assets (currency interest swap)	3,475,382	-	Discount cash flow model	Currency forward rate, interest rate, discount rate, and others
Derivative liabilities (currency interest swap)	-	1,132,616		
Derivative assets (interest swap)	616,589	-		Interest rate, discount rate, and others
Derivative liabilities (interest swap)	-	132,396		

(f) Net Gains or Losses by Category of Financial Instruments

Net gains or losses on each category of financial instruments for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	Interest income (expenses)		Gain on valuation		Other income (expenses) ¹		Net income (loss)	
	2021	2020	2021	2020	2021	2020	2021	2020
Financial assets at amortized cost	₩ 9,655,916	₩13,140,465	₩ -	₩ -	₩ 8,836,759	₩ (15,456,051)	₩ 18,492,675	₩ (2,315,586)
Financial assets at fair value through profit or loss	-	-	86,523	185,480	182,600	118,475	269,123	303,955
Derivative assets	-	-	5,356,983	-	-	-	5,356,983	-
Financial liabilities at amortized cost	(14,021,318)	(15,478,126)	-	-	9,036,852	12,260,157	(5,047,945)	(3,217,969)
Derivative liabilities	-	-	-	(2,268,002)	-	-	-	(2,268,002)
Other liabilities	(685,864)	(607,496)	-	-	-	-	(622,386)	(607,496)
	<u>₩ (5,051,266)</u>	<u>₩(2,945,157)</u>	<u>₩ 5,443,506</u>	<u>₩(2,082,522)</u>	<u>₩ 18,056,211</u>	<u>₩ (3,077,419)</u>	<u>₩ 18,448,450</u>	<u>₩ (8,105,098)</u>

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, and gain (loss) on disposal of financial assets at fair value through profit or loss.

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6. Cash and Cash Equivalents

Cash and cash equivalents as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021		2020
Demand deposits	₩	47,410,384	₩	28,850,121

7. Restricted Financial Instruments

Restriction of financial instruments as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021		2020	Note
Long-term financial instruments	₩	7,000	₩	7,000	Deposits on checking accounts
		182,491		167,482	Establishment of a pledge right
	₩	<u>189,491</u>	₩	<u>174,482</u>	

8. Trade and Other Receivables

Details of trade and other receivables as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021		
		Gross amount	Bad debt allowances¹	Net amount
Trade receivables	₩	351,884,189	₩ (4,844,509)	₩ 347,039,680
Other receivables		17,985,369	(12,939)	17,972,430
Accrued income		<u>5,746,918</u>	-	<u>5,746,918</u>
Total ²	₩	<u>375,616,476</u>	₩ <u>(4,857,448)</u>	₩ <u>370,759,028</u>

<i>(in thousands of Korean won)</i>		2020		
		Gross amount	Bad debt allowances	Net amount
Trade receivables	₩	238,763,561	₩ -	₩ 238,763,561
Other receivables		4,020,070	-	4,020,070
Accrued income		<u>3,820,236</u>	-	<u>3,820,236</u>
Total	₩	<u>246,603,867</u>	₩ -	₩ <u>246,603,867</u>

¹ The Group recognized bad debt allowances by calculating the expected credit loss for lifetime

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expected collection period from the initial recognition of receivables.

² Trade and other receivables for related parties as at December 31, 2021 and 2020, are ₩ 83,859,716 thousand and ₩ 65,741,723 thousand, respectively (Note 32).

The aging analysis of trade and other receivables as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Receivables not past due	₩ 350,864,158	₩ 235,408,757
Past due		
Less than 1 month	19,281,285	11,190,536
Between 1 and 3 months	270,773	4,574
Between 3 and 6 months	4,113,212	-
Between 6 and 12 months	1,087,048	-
	<u>₩ 375,616,476</u>	<u>₩ 246,603,867</u>

Changes in bad debt allowances for the years ended December 31, 2021 and 2020, are as follows:

<i>(in millions of Korean won)</i>	2021	2020
Beginning balance	₩ -	₩ -
Bad debt expenses	4,857,448	-
Write off	-	-
Ending balance	<u>₩ 4,857,448</u>	<u>₩ -</u>

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9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 186,708,142	₩ 59,451,876	₩ (21,688,574)	₩ 224,471,444
Contract assets - unbilled	10,048,280	23,168,881	(4,446,661)	28,770,500
Contract liabilities	197,116,872	155,654,144	(67,149,187)	285,621,829

(in thousands of Korean won)

	2020			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 149,847,587	₩ 57,924,650	₩ (21,064,095)	₩ 186,708,142
Contract assets - unbilled	1,635,300	18,583,494	(10,170,514)	10,048,280
Contract liabilities	145,129,256	104,973,314	(52,985,698)	197,116,872

Costs incurred in fulfilling a contract include costs for technology transfer and production of trial batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not consist a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Group's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Group recognizes any advance consideration received from a customer in relation to technology transfer and engineering batch production as contract liabilities.

Impairment loss of ₩ 725,887 thousand on contract assets is recognized during the year ended December 31, 2021. During the year ended December 31, 2020, there is no impairment loss on contract assets.

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Besides the above contract liabilities recognized, the Group classifies the amount received prior to transferring goods or services to the customer as 'advance receipts'. Changes in advance receipts for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 169,960,896	₩ 471,675,396	₩ (255,871,814)	₩ 385,764,478

(in thousands of Korean won)

	2020			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 147,373,367	₩ 179,483,422	₩ (156,895,893)	₩ 169,960,896

10. Inventories

Details of inventories as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 237,146,020	₩ (204,638)	₩ 236,941,382
Work-in-process	279,406,584	(1,838,764)	277,567,820
Raw materials	307,652,657	(1,766,117)	305,886,540
Supplies	195,976,363	(3,501,314)	192,475,049
	<u>₩ 1,020,181,624</u>	<u>₩ (7,310,833)</u>	<u>₩ 1,012,870,791</u>

(in thousands of Korean won)

	2020		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 94,294,145	₩ (1,426,572)	₩ 92,867,573
Work-in-process	197,563,566	(580,657)	196,982,909
Raw materials	209,310,462	(451,392)	208,859,070
Supplies	148,756,277	(1,505,733)	147,250,544
	<u>₩ 649,924,450</u>	<u>₩ (3,964,354)</u>	<u>₩ 645,960,096</u>

During the year ended December 31, 2021, loss on valuation of ₩ 3,346,479 thousand was recognized while reversal of loss on valuation of ₩ 9,118,584 thousand was recognized during the year ended December 31, 2020. The amounts are included in cost of revenue.

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11. Other Financial Assets

Details of other financial assets as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021		2020	
	Current	Non-current	Current	Non-current
Deposits provided	₩ 23,984,945	₩ 22,827,408	₩ 23,155,629	₩ 22,884,192
Loans	-	-	400,000	300,000
Derivative assets	-	4,091,971	-	-
	<u>₩ 23,984,945</u>	<u>₩ 26,919,379</u>	<u>₩ 23,555,629</u>	<u>₩ 23,184,192</u>

12. Other Assets

Details of other assets as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021		2020	
	Current	Non-current	Current	Non-current
Advance payments	₩ 49,087	₩ -	₩ 13,448	₩ -
Prepaid expenses	8,578,713	1,226,183	7,124,376	1,283,412
	<u>₩ 8,627,800</u>	<u>₩ 1,226,183</u>	<u>₩ 7,137,824</u>	<u>₩ 1,283,412</u>

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13. Investments in Associates and Joint Ventures

Investments in associates and joint ventures as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	Major business location	Primary business	Fiscal date	2021		2020	
				Book amount	Percentage of ownership	Book amount	Percentage of ownership
Samsung Bioepis Co., Ltd. ¹	Republic of Korea	Biosimilar research and commercialization	2021.12.31	₩2,649,367,726	50.00%	₩2,634,428,494	50.00%
Archigen Biotech Limited ²	The United Kingdom	Bio-medicine business	2021.12.31	-	50.00%	-	50.00%
Samsung Venture Capital Union #54 ³	Republic of Korea	Equity investment in the bio industry start-ups	2021.12.31	11,941,760	33.00%	-	-
				<u>₩2,661,309,486</u>		<u>₩2,634,428,494</u>	

¹ Samsung Bioepis Co., Ltd. was established in 2012 in a joint venture between the Group and Biogen Therapeutics Inc. for development and commercialization of biosimilar. The Group had classified Samsung Bioepis Co., Ltd. as a subsidiary until 2015 when the Group lost its control that potential voting rights held by Biogen Therapeutics Inc. were changed to substantive rights to Samsung Bioepis Co., Ltd. and related activities could not be controlled unilaterally due to the composition of the board of directors and the quorum for voting at shareholder meeting under the agreement. According to the joint venture agreement between the Group and Biogen Therapeutics Inc., Samsung Bioepis Co., Ltd. entered into a contract for intellectual property and others with Biogen Therapeutics Inc. and other companies.

Biogen Therapeutics Inc. exercised the call option to purchase shares of Samsung Bioepis Co., Ltd., on June 29, 2018. All legal procedures related to exercising the call option were completed. Accordingly, as at December 31, 2021, the percentage of the Group's ownership is 50%+1 share.

² On September 2020, the Company and AstraZeneca have agreed to initiate a wind-down of Archigen Biotech Limited.

³ During the year ended December 31, 2021, the Group invested in Samsung Venture Capital Union #54 for equity investment in the bio industry start-ups.

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Changes in investments in associates and joint ventures for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	2021				
	Beginning balance	Acquisition	Share of profit (loss)	Other changes ¹	Ending balance
Samsung Bioepis Co., Ltd.	₩ 2,634,428,494	₩ -	₩ 14,286,382	₩ 652,850	₩ 2,649,367,726
Archigen Biotech Limited ²	-	-	-	-	-
Samsung Venture Capital Union #54	-	12,375,000	(433,240)	-	11,941,760
	<u>₩ 2,634,428,494</u>	<u>₩ 12,375,000</u>	<u>₩ 13,853,142</u>	<u>₩ 652,850</u>	<u>₩ 2,661,309,486</u>

¹ Other changes include changes in equity of investee and changes in exchange rate.

(in thousands of Korean won)	2020				
	Beginning balance	Acquisition	Share of loss	Other changes ¹	Ending balance
Samsung Bioepis Co., Ltd.	₩ 2,649,965,646	₩ -	₩ (14,919,738)	₩ (617,414)	₩ 2,634,428,494
Archigen Biotech Limited ²	2,765,976	-	(2,847,956)	81,980	-
	<u>₩ 2,652,731,622</u>	<u>₩ -</u>	<u>₩ (17,767,694)</u>	<u>₩ (535,434)</u>	<u>₩ 2,634,428,494</u>

¹ Other changes include changes in equity of investee and changes in exchange rate.

² As the carrying amount became less than zero during the year ended December 31, 2021, the application of the equity method was discontinued. Accordingly, share of loss which was not recognized during the year ended December 31, 2020, is ₩ 1,148,724 thousand.

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Financial information of investees as at December 31, 2021 and 2020 and for the years ended December 31, 2021 and 2020, are summarized as follows:

(in thousands of Korean won)	2021						
	Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities
Samsung Bioepis Co., Ltd. ¹	₩1,718,447,611	₩1,065,523,356	₩1,498,457,232	₩329,606,162	₩107,680,612	₩1,039,874,340	₩189,692,529
Archigen Biotech Limited	4,226,961	-	3,729,570	-	4,207,308	3,729,570	-
Samsung Venture Capital Union #54	37,136,032	-	948,879	-	17,040,104	948,879	-

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

(in thousands of Korean won)	2021							
	Revenue	Profit (loss) for the year	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	Income tax expense
Samsung Bioepis Co., Ltd. ¹	₩846,977,204	₩151,992,430	₩153,298,130	₩12,913,192	₩52,114,883	₩ 305,934	₩20,245,090	₩22,578,305
Archigen Biotech Limited	-	2,584,456	2,488,233	2,483	-	681	3,599	249
Samsung Venture Capital Union #54	139,757	(1,312,847)	(1,312,847)	-	-	-	-	-

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

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(in thousands of
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	2020						
	Current assets	Non-current assets	Current liabilities	Non-current liabilities	Cash and cash equivalents	Current financial liabilities	Non-current financial liabilities
Samsung Bioepis Co., Ltd. ¹	₩1,582,667,902	₩1,035,334,688	₩1,275,266,075	₩540,127,070	₩97,726,723	₩858,605,678	₩397,542,179
Archigen Biotech Limited	4,793,757	338	6,795,343	-	3,949,962	6,795,343	-

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

(in thousands of
Korean won)

	2020							
	Revenue	Profit (loss) for the year	Total comprehensive income (loss)	Depreciation	Amortization	Interest income	Interest expense	Income tax expense
Samsung Bioepis Co., Ltd. ¹	₩777,373,656	₩137,962,743	₩136,727,913	₩13,030,939	₩45,303,106	₩ 763,422	₩12,517,222	₩ 4,204,300
Archigen Biotech Limited	-	(7,811,518)	(7,508,028)	5,432	-	136,072	6,126	159

¹ The amounts are based on consolidated financial information of Samsung Bioepis Co., Ltd. before adjustment of fair value of net assets.

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Reconciliation of the investees' financial information to the carrying value of the Company's interest in associates and joint ventures as at December 31, 2021 and 2020, are as follows:

(in thousands of
Korean won)

	2021						
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference ¹	Unrealized intercompany transactions	Others	Book amount
Samsung Bioepis Co., Ltd.	₩955,907,574	50.00%	₩477,953,833	₩2,344,394,258	₩ (172,980,365)	₩ -	₩2,649,367,726
Archigen Biotech Limited	497,391	50.00%	248,695	-	-	(248,695)	-
Samsung Venture Capital Union #54	36,187,153	33.00%	11,941,760	-	-	-	11,941,760

¹ Investment difference includes adjustment of net assets value at the point of loss of control and a tentative amount related to irregular capital increase, and the amortization effect.

(in thousands of
Korean won)

	2020						
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference ¹	Unrealized intercompany transactions	Unrecognized gain	Book amount
Samsung Bioepis Co., Ltd.	₩802,609,444	50.00%	₩401,304,761	₩2,364,720,406	₩ (131,596,673)	₩ -	₩2,634,428,494
Archigen Biotech Limited	(2,001,248)	50.00%	(1,000,624)	-	-	1,000,624	-

¹ Investment difference includes adjustment of net assets value at the point of loss of control and a tentative amount related to irregular capital increase, and the amortization effect.

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14. Investment Properties

Details of investment properties as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021						2020					
	Acquisition cost		Accumulated depreciation		Book amount		Acquisition cost		Accumulated depreciation		Book amount	
Buildings	₩	-	₩	-	₩	-	₩	20,480,236	₩	(853,343)	₩	19,626,893
Structures		-		-		-		45,052		(1,877)		43,175
Others		-		-		-		577,893		-		577,893
	₩	-	₩	-	₩	-	₩	21,103,181	₩	(855,220)	₩	20,247,961

Changes in investment properties for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021					
	Beginning balance		Others ¹		Ending balance	
Buildings	₩	19,626,893	₩	(19,626,893)	₩	-
Structures		43,175		(43,175)		-
Others		577,893		(577,893)		-
	₩	20,247,961	₩	(20,247,961)	₩	-

¹ During the year ended December 31, 2021, investment properties amounting to ₩ 20,247,961 thousand were transferred to property, plant and equipment.

<i>(in thousands of Korean won)</i>	2020					
	Beginning balance		Depreciation		Ending balance	
Buildings	₩	20,138,899	₩	(512,006)	₩	19,626,893
Structures		44,301		(1,126)		43,175
Others		577,893		-		577,893
	₩	20,761,093	₩	(513,132)	₩	20,247,961

The Group leased buildings and structures to Samsung Bioepis Co., Ltd., as an associate of the Group, but the investment properties were transferred to property, plant and equipment as the lease contract was terminated in January 2021. During the year ended December 31, 2021, rental income from investment property is ₩ 125 million and there are no investment properties held for lease as at December 31, 2021.

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15. Property, Plant and Equipment

Property, plant and equipment as at December 31, 2021 and 2020, consist of:

(in thousands of Korean won)	2021			2020		
	Acquisition cost	Accumulated depreciation	Book amount	Acquisition cost	Accumulated depreciation	Book amount
Buildings	₩ 821,538,244	₩ (102,515,231)	₩ 719,023,013	₩ 782,068,576	₩ (81,219,199)	₩ 700,849,377
Structures	10,980,454	(1,683,028)	9,297,426	10,837,402	(1,414,048)	9,423,354
Machinery	1,379,743,620	(503,177,970)	876,565,650	1,294,148,353	(392,094,069)	902,054,284
Vehicles	1,175,852	(1,012,865)	162,987	1,095,237	(889,107)	206,130
Others	57,276,309	(38,621,574)	18,654,735	49,571,054	(31,006,512)	18,564,542
Construction-in-progress	583,359,895	-	583,359,895	105,469,602	-	105,469,602
	<u>₩ 2,854,074,374</u>	<u>₩ (647,010,668)</u>	<u>₩ 2,207,063,706</u>	<u>₩ 2,243,190,224</u>	<u>₩ (506,622,935)</u>	<u>₩ 1,736,567,289</u>

Changes in property, plant and equipment for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	2021					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance
Buildings	₩ 700,849,377	₩ 17,327	₩ -	₩ (20,442,688)	₩ 38,598,997	₩ 719,023,013
Structures	9,423,354	-	-	(267,102)	141,174	9,297,426
Machinery	902,054,284	953,927	(1,392,611)	(115,161,772)	90,111,822	876,565,650
Vehicles	206,130	-	-	(123,758)	80,615	162,987
Others	18,564,542	2,550,588	(11,194)	(8,066,077)	5,616,876	18,654,735
Construction-in-progress	105,469,602	597,096,422	(5,017,221)	-	(114,188,908)	583,359,895
	<u>₩ 1,736,567,289</u>	<u>₩ 600,618,264</u>	<u>₩ (6,421,026)</u>	<u>₩ (144,061,397)</u>	<u>₩ 20,360,576</u>	<u>₩ 2,207,063,706</u>

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(in thousands of Korean won)	2020					
	Beginning balance	Acquisition	Disposal and others	Depreciation	Others	Ending balance
Buildings	₩ 718,993,373	₩ -	₩ (1,250,935)	₩ (19,575,808)	₩ 2,682,747	₩ 700,849,377
Structures	9,187,043	-	-	(259,298)	495,609	9,423,354
Machinery	918,899,558	1,518,890	(68,610)	(104,367,536)	86,071,982	902,054,284
Vehicles	263,303	81,600	(733)	(148,740)	10,700	206,130
Others	18,734,694	1,621,246	(91,861)	(7,063,425)	5,363,888	18,564,542
Construction-in-progress	36,714,553	163,796,711	-	-	(95,041,662)	105,469,602
	<u>₩ 1,702,792,524</u>	<u>₩ 167,018,447</u>	<u>₩ (1,412,139)</u>	<u>₩ (131,414,807)</u>	<u>₩ (416,736)</u>	<u>₩ 1,736,567,289</u>

Classification of depreciation for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	2021	2020
Cost of revenue	₩ 139,417,380	₩ 126,688,822
Selling, general and administrative expenses	<u>4,644,017</u>	<u>4,725,984</u>
	<u>₩ 144,061,397</u>	<u>₩ 131,414,806</u>

During the year ended December 31, 2021, the Group has capitalized borrowing costs amounting to ₩ 4,258,716 thousand (2020: ₩ 81,090 thousand) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 2.31%. (2020: 2.61%).

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16. Intangible Assets

Intangible assets as at December 31, 2021 and 2020, consist of:

(in thousands of Korean won)

	2021			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 51,458,663	₩ (33,544,195)	₩ -	₩ 17,914,468
Others	3,717,137	(1,987,904)	-	1,729,233
Memberships	10,540,263	(521,756)	-	10,018,507
Trademarks	39,148	(2,388)	-	36,760
Land use rights	69,525,089	(14,832,019)	(54,693,070)	-
Construction-in-progress	2,472,650	-	-	2,472,650
	<u>₩ 137,752,950</u>	<u>₩ (50,888,262)</u>	<u>₩ (54,693,070)</u>	<u>₩ 32,171,618</u>

(in thousands of Korean won)

	2020			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount
Software	₩ 42,795,831	₩ (27,956,461)	₩ -	₩ 14,839,370
Others	3,706,855	(1,395,200)	-	2,311,655
Memberships	4,243,388	(521,756)	-	3,721,632
Trademarks	-	-	-	-
Land use rights	69,525,088	(13,441,517)	(56,083,571)	-
Construction-in-progress	2,471,949	-	-	2,471,949
	<u>₩ 122,743,111</u>	<u>₩ (43,314,934)</u>	<u>₩ (56,083,571)</u>	<u>₩ 23,344,606</u>

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Changes in intangible assets for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of
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	2021						
	Beginning balance	Acquisition	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance
Software	₩14,839,370	₩ -	₩ (278,892)	₩ (6,130,568)	₩ -	₩ 9,484,558	₩17,914,468
Others	2,311,655	-	-	(592,705)	-	10,283	1,729,233
Memberships	3,721,632	6,296,875	-	-	-	-	10,018,507
Trademarks	-	-	-	(2,388)	-	39,148	36,760
Land use rights	-	-	-	(1,390,502)	1,390,502	-	-
Construction-in-progress	2,471,949	10,264,973	(816,622)	-	-	(9,447,650)	2,472,650
	<u>₩23,344,606</u>	<u>₩16,561,848</u>	<u>₩ (1,095,514)</u>	<u>₩ (8,116,163)</u>	<u>₩ 1,390,502</u>	<u>₩ 86,339</u>	<u>₩32,171,618</u>

(in thousands of
Korean won)

	2020						
	Beginning balance	Acquisition	Disposal and others ¹	Amortization	Amortization of government grants	Others	Ending balance
Software	₩16,027,775	₩ 388,199	₩ (1,426,283)	₩ (5,592,440)	₩ -	₩ 5,442,119	₩ 14,839,370
Others	132,650	23,700	-	(515,198)	-	2,670,503	2,311,655
Memberships	3,721,632	-	-	-	-	-	3,721,632
Land use rights	-	-	-	(1,390,502)	1,390,502	-	-
Construction-in-progress	1,945,458	8,621,453	(402,823)	-	-	(7,692,139)	2,471,949
	<u>₩21,827,515</u>	<u>₩ 9,033,352</u>	<u>₩ (1,829,106)</u>	<u>₩ (7,498,140)</u>	<u>₩ 1,390,502</u>	<u>₩ 420,483</u>	<u>₩ 23,344,606</u>

¹ The Group recognized impairment loss because the recoverable amount of certain intangible assets is less than its carrying amount.

Classification of amortization for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021	2020
Cost of revenue	₩ 2,147,939	₩ 2,147,513
Selling, general and administrative expenses	4,577,722	3,960,125
	<u>₩ 6,725,661</u>	<u>₩ 6,107,638</u>

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17. Debenture and Borrowings

Debentures and borrowings as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021		2020	
	Current	Non-current	Current	Non-current
Debentures	₩ -	₩ 538,553,996	₩ 149,927,459	₩ 39,930,899
Short-term borrowings	50,000,000	-	30,000,000	-
Long-term borrowings	109,855,000	576,130,000	10,980,000	531,520,000
	<u>₩ 159,855,000</u>	<u>₩ 1,114,683,996</u>	<u>₩ 190,907,459</u>	<u>₩ 571,450,899</u>

Details of debentures as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	Issuance date	Maturity date	Interest rate (%)	2021	2020
The 6-1st private placement debenture(non-guaranteed)	2018-04-27	2021-04-27	-	₩ -	₩ 150,000,000
The 6-2nd private placement debenture(non-guaranteed)	2018-04-27	2023-04-27	3.53	40,000,000	40,000,000
The 7-1st public offering of debenture(non-guaranteed)	2021-09-03	2024-09-03	1.89	380,000,000	-
The 7-2nd public offering of debenture(non-guaranteed)	2021-09-03	2026-09-03	2.19	120,000,000	-
Discount on debentures				<u>(1,446,004)</u>	<u>(141,642)</u>
				538,553,996	189,858,358
Current portion				<u>-</u>	<u>(149,927,459)</u>
				<u>₩ 538,553,996</u>	<u>₩ 39,930,899</u>

Details of short-term borrowings as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2021	2020
Kookmin Bank	2.45	₩ 50,000,000	₩ 30,000,000
		<u>₩ 50,000,000</u>	<u>₩ 30,000,000</u>

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Details of long-term borrowings as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2021	2020
Long-term borrowings in Korean won			
Hana Bank and 5 others	1.50~2.70	₩ 603,000,000	₩ 488,100,000
Current portion		<u>(98,000,000)</u>	<u>(100,000)</u>
		<u>505,000,000</u>	<u>488,000,000</u>
Long-term borrowings in foreign currency			
Mizuho Bank and 2 others	1.37~1.87	82,985,000	54,400,000
Current portion		<u>(11,855,000)</u>	<u>(10,880,000)</u>
		<u>71,130,000</u>	<u>43,520,000</u>
		<u>₩ 576,130,000</u>	<u>₩ 531,520,000</u>

The repayment schedule of debentures and borrowings as at December 31, 2021, are as follows:

<i>(in thousands of Korean won)</i>	Debentures	Short-term borrowings	Long-term borrowings	Total
2022.01.01 ~ 2022.12.31	₩ -	₩ 50,000,000	₩ 109,855,000	₩ 159,855,000
2023.01.01 ~ 2023.12.31	40,000,000	-	425,565,000	465,565,000
2024.01.01 ~ 2024.12.31	380,000,000	-	150,565,000	530,565,000
2025.01.01 ~	120,000,000	-	-	120,000,000
	<u>₩ 540,000,000</u>	<u>₩ 50,000,000</u>	<u>₩ 685,985,000</u>	<u>₩ 1,275,985,000</u>

18. Trade and Other Payables

Details of trade and other payables as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021		2020	
	Current	Non-current	Current	Non-current
Trade payables	₩ 32,250,587	₩ -	₩ 54,984,011	₩ -
Other payables	292,457,982	-	65,836,402	-
Accrued expenses	74,321,525	9,152,703	64,356,293	9,443,625
Total ¹	<u>₩ 399,030,094</u>	<u>₩ 9,152,703</u>	<u>₩ 185,176,706</u>	<u>₩ 9,443,625</u>

¹ Trade and other payables to related parties as at December 31, 2021 and 2020, are ₩ 234,504,395 thousand and ₩ 17,038,268 thousand, respectively (Note 32).

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19. Emission Liability

(a) Emissions rights

The Group has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. The quantity of emission rights for the 3rd planning periods (2021 ~ 2025) granted free of charge is as follows:

<i>(in tCO2-eq)</i>	2021	2022	2023	2024	2025	Total
Allocation with nil consideration	122,393	122,393	122,393	121,247	121,247	609,673

There are no emission rights provided as collateral as at December 31, 2021.

(b) Emission liability

Changes in emission liability for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 427,060	₩ 725,693	₩ (427,060)	₩ 725,693

<i>(in thousands of Korean won)</i>	2020			
	Beginning balance	Increase	Decrease	Ending balance
Emission liability	₩ 553,853	₩ 427,060	₩ (553,853)	₩ 427,060

The Group estimated that it emitted 143,068 tons of carbon dioxide during the year ended December 31, 2021.

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20. Lease

The amounts relating to leases recognized as at December 31, 2021 and 2020 on the consolidated statement of financial position, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Right-of-use assets¹		
Land	₩ 3,384,341	₩ 3,718,063
Buildings	16,902,399	20,064,705
Machinery	78,933	171,654
Vehicles	258,101	205,802
	<u>₩ 20,623,774</u>	<u>₩ 24,160,224</u>
Lease liabilities		
Current	₩ 7,537,132	₩ 6,532,621
Non-current	10,671,166	16,014,284
	<u>₩ 18,208,298</u>	<u>₩ 22,546,905</u>

¹ Additions to the right-of-use assets during the years ended December 31, 2021 and 2020, were ₩ 7,206,634 thousand and ₩ 13,693,769 thousand, respectively.

The amounts relating to leases recognized for the year ended December 31, 2021 and 2020, on the consolidated statement of comprehensive, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Statement of profit or loss:		
Depreciation of right-of-use assets	₩ 11,001,591	₩ 5,652,428
Land	4,029,849	415,138
Buildings	6,271,036	4,714,483
Machinery	101,684	103,908
Vehicle	599,022	418,899
Interest expenses	685,864	619,126
Expense relating to short-term leases	-	128,598
Expense relating to variable lease payments not included in lease liabilities	2,390,621	2,163,827
Expense relating to leases of low-value assets	899,702	815,461
	<u>₩ 14,977,778</u>	<u>₩ 9,379,440</u>

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Classification of depreciation of right-of-use assets for the years ended December 31, 2021 and 2020, is as follows:

<i>(in thousands of Korean won)</i>	2021		2020	
Cost of revenue	₩	5,745,728	₩	4,541,374
Selling, general and administrative expenses		5,255,863		1,111,054
	₩	11,001,591	₩	5,652,428

The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments during the years ended December 31, 2021 and 2020, was ₩ 15,544,282 thousand and ₩ 9,949,447 thousand, respectively.

21. Other Liabilities

Details of other liabilities as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021		2020	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 356,428,589	₩ 29,335,889	₩ 155,551,652	₩ 14,409,244
Withholdings	7,980,611	-	4,015,464	-
	₩ 364,409,200	₩ 29,335,889	₩ 159,567,116	₩ 14,409,244

22. Employee Benefit

Recognized assets and liabilities for employee benefits as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021		2020	
Net defined benefit liabilities (asset)	Present value of defined benefit obligations	₩	98,068,727	₩	80,393,148
	Fair value of plan assets		(101,641,107)		(92,293,291)
			(3,572,380)		(11,900,143)
Trade and other payables	Accrued expenses ¹		56,099,755		40,915,496
	Long-term accrued expenses ¹		5,597,944		4,766,734
			61,697,699		45,682,230
		₩	58,125,319	₩	33,782,087

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¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

Changes in net defined benefit liabilities (asset) for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	Defined benefit obligations		Plan assets		Net defined benefit liabilities (asset)	
	2021	2020	2021	2020	2021	2020
Beginning balance	₩80,393,148	₩67,189,324	₩ (92,293,291)	₩ (52,760,029)	₩ (11,900,143)	₩ 14,429,295
Included in profit or loss:						
- Current service cost	20,425,113	20,163,499	-	-	20,425,113	20,163,499
- Interest expense (income)	2,640,341	2,178,760	(3,077,987)	(1,716,241)	(437,646)	462,519
	<u>23,065,454</u>	<u>22,342,259</u>	<u>(3,077,987)</u>	<u>(1,716,241)</u>	<u>19,987,467</u>	<u>20,626,018</u>
Included in other comprehensive income or loss:						
- Remeasurement loss (gain)						
Actuarial loss (gain) arising from						
Demographic assumptions	1,316,458	(8,896,662)	-	-	1,316,458	(8,896,662)
Financial assumptions	-	110,854	-	-	-	110,854
Experience adjustment	(4,468,920)	(7,462,799)	-	-	(4,468,920)	(7,462,799)
- Loss on plan assets excluding interest income	5,785,378	(1,544,717)	-	-	5,785,378	(1,544,717)
	<u>-</u>	<u>-</u>	<u>2,153,256</u>	<u>808,876</u>	<u>2,153,256</u>	<u>808,876</u>
	<u>1,316,458</u>	<u>(8,896,662)</u>	<u>2,153,256</u>	<u>808,876</u>	<u>3,469,714</u>	<u>(8,087,786)</u>
Others:						
- Contributions to plan assets	-	-	(11,240,520)	(37,676,749)	(11,240,520)	(37,676,749)
- Benefit payments	(7,253,830)	(3,479,665)	3,274,932	1,851,269	(3,978,898)	(1,628,396)
- Transfer from affiliated companies	713,496	3,237,892	(623,496)	(2,800,417)	90,000	437,475
- Other payments	(165,999)	-	165,999	-	-	-
	<u>(6,706,333)</u>	<u>(241,773)</u>	<u>(8,423,085)</u>	<u>(38,625,897)</u>	<u>(15,129,418)</u>	<u>(38,867,670)</u>
Ending balance	<u>₩98,068,727</u>	<u>₩80,393,148</u>	<u>₩ (101,641,107)</u>	<u>₩ (92,293,291)</u>	<u>₩ (3,572,380)</u>	<u>₩ (11,900,143)</u>

Details of plan assets as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Cash and cash equivalents	₩ 101,641,107	₩ 92,293,291

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The allocations of total expenses related to defined benefit obligation for the years ended December 30, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021		2020	
Cost of sales	₩	15,637,476	₩	17,061,025
Selling, general and administrative expenses		3,847,200		3,328,069
Construction-in-progress		502,791		236,924
	₩	<u>19,987,467</u>	₩	<u>20,626,018</u>

The significant actuarial assumptions as at December 31, 2021 and 2020, are as follows:

<i>(in percentage, %)</i>	2021		2020	
Discount rate	3.95	%	3.43	%
Future salary increases	5.01	%	4.97	%

As at December 31, 2021 and 2020, the weighted average duration of the defined benefit obligation is 9.15 years and 9.26 years, respectively.

As at December 31, 2021, effects on the present value of defined benefit obligations if each of significant actuarial assumptions changes within potential reasonable range are as follows (if changed by 1%):

<i>(in thousands of Korean won)</i>	Salary increases		Discount rate	
	1% Up	1% Down	1% Up	1% Down
Present value of defined benefit obligations	₩ 9,519,416	₩ (8,225,344)	₩ (7,981,021)	₩9,385,285

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23. Share Capital and Reserves

Details of share capital as at December 31, 2021 and 2020, are summarized as follows:

<i>(in Korean won, in shares)</i>	2021	2020
Number of shares authorized	500,000,000	500,000,000
Par value	₩ 2,500	₩ 2,500
Number of shares issued	66,165,000	66,165,000
Share capital	₩ 165,412,500,000	₩ 165,412,500,000

There has been no change in the number of shares issued and outstanding shares for the years ended December 31, 2021 and 2020.

Details of share premium as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Additional paid-in capital	₩ 2,496,626,851	₩ 2,496,626,851
Disproportionate capital increase	(9,313,769)	(9,313,769)
	<u>₩ 2,487,313,082</u>	<u>₩ 2,487,313,082</u>

Details of accumulated other comprehensive loss as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Remeasurements of net defined benefit liabilities	₩ (12,943,780)	₩ (10,197,503)
Foreign currency translation	(44,181)	(1,037,503)
Share of other comprehensive income of associates and joint ventures	4,177,323	3,694,867
	<u>₩ (8,810,638)</u>	<u>₩ (7,540,139)</u>

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24. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Revenue:		
Product sales	₩ 1,441,997,362	₩ 1,102,593,262
Other sales	126,009,566	62,183,612
	<u>₩ 1,568,006,928</u>	<u>₩ 1,164,776,874</u>
Cost of revenue:		
Cost of product sales	₩ 694,059,705	₩ 630,273,049
Cost of other sales ¹	147,495,858	118,427,714
	<u>₩ 841,555,563</u>	<u>₩ 748,700,763</u>

¹ Cost of other sales includes loss on abnormal capacity and loss on valuation of inventories.

25. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Salaries	₩ 33,219,482	₩ 23,488,301
Bonuses	16,881,572	10,605,654
Retirement benefits	3,772,936	3,295,690
Employee welfare	13,701,207	9,752,942
Depreciation	4,221,906	5,053,796
Amortization of intangible assets	4,572,059	3,949,575
Repairs and maintenance	3,101,660	2,487,871
Supplies expenses	2,356,578	2,555,346
Utility expenses	272,333	247,178
Service fees	64,319,554	28,661,783
Training expenses	8,946,530	7,352,182
Electronic processing expenses	3,477,194	2,963,001
Taxes and dues	1,804,168	1,789,423
Insurance premium	5,240,337	4,115,804
Advertising expenses	5,349,284	4,396,241
Bad debt expenses	4,857,448	-
Others	13,047,709	12,574,769
	<u>₩ 189,141,957</u>	<u>₩ 123,289,556</u>

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26. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Changes in work-in-process and finished goods	₩ (224,694,893)	₩ (21,030,429)
Changes in costs to fulfill a contract	(37,763,302)	(36,860,555)
Raw materials and supplies used	426,584,773	261,897,554
Employee benefits	372,799,534	286,337,276
Depreciation and amortization	150,787,059	138,035,577
Supplies expenses	82,847,959	65,761,320
Utility expenses	34,215,785	30,976,568
Service fees	97,837,181	56,399,507
Others	128,083,424	90,473,500
Total cost of sales, and selling, general and administrative expenses	₩ 1,030,697,520	₩ 871,990,320

27. Other Income and Expenses

Details of other income for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Rental incomes	₩ 259,984	₩ 2,000,444
Fee incomes	12,276	187,901
Gain on disposal of property, plant and equipment	36,828	30,986
Gain on lease cancellation	416	125
Miscellaneous gains	104,761	349,331
	₩ 414,265	₩ 2,568,787

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Details of other expenses for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Donations	₩ 1,052,934	₩ 240,580
Loss on disposal of property, plant and equipment	3,458	4,118
Loss on retirement of property, plant and equipment	6,403,663	1,391,319
Loss on retirement of intangible assets	1,095,514	476,757
Impairment loss on intangible assets	-	1,352,350
Miscellaneous losses	187,099	25,262
	<u>₩ 8,742,668</u>	<u>₩ 3,490,386</u>

28. Finance Income and Costs

Details of finance income for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Interest income	₩ 9,655,916	₩ 13,140,465
Gain on valuation of financial assets at fair value through profit or loss	86,523	185,480
Gain on disposal of financial assets at fair value through profit or loss	182,600	118,475
Gain on valuation of derivative assets	5,356,983	-
Gain on foreign currency translations	7,743,465	4,344,394
Gain on foreign currency transactions	24,563,963	14,985,721
	<u>₩ 47,589,450</u>	<u>₩ 32,774,535</u>

Details of finance costs for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Interest expenses	₩ 14,707,182	₩ 16,085,623
Loss on valuation of derivative liabilities	-	2,268,002
Loss on foreign currency translations	5,389,217	7,367,178
Loss on foreign currency transactions	9,044,600	15,158,830
	<u>₩ 29,140,999</u>	<u>₩ 40,879,633</u>

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29. Income Tax Expense

Income tax expense for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Current income tax expense:		
Current income tax	₩ 130,918,722	₩ 49,516,212
Adjustments	(1,642,839)	(683,475)
Deferred tax expense:		
Temporary differences	37,864,202	(20,697,474)
Income taxes recognized directly in equity	553,044	(3,117,900)
Income tax expense	<u>₩ 167,693,129</u>	<u>₩ 25,017,363</u>

The relationship between tax expense and accounting profit for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Profit before income tax	₩ 561,282,597	₩ 265,992,163
Income taxes at statutory tax rate	143,994,425	64,370,103
Adjustments:		
Non-deductible expense	350,736	181,176
Changes in unrecognized deferred tax assets	-	(33,339,136)
Tax credit	(11,772,031)	(3,749,832)
Effect of change in average tax rate	36,364,457	-
Others	(1,244,457)	(2,444,948)
Income tax expense	<u>₩ 167,693,130</u>	<u>₩ 25,017,363</u>
Average effective tax rate	29.88%	9.41%

Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021			2020		
	Before tax	Tax expense	Net of tax	Before tax	Tax expense	Net of tax
Net defined benefit plan remeasurements	₩ (3,469,714)	₩ 723,438	₩ (2,746,277)	₩ 8,087,786	₩ (1,957,244)	₩ 6,130,542
Equity adjustments arising from investments in associates and joint ventures	652,850	(170,394)	482,456	(535,434)	129,575	(405,859)
	<u>₩ (2,816,866)</u>	<u>₩ 553,044</u>	<u>₩ (2,263,821)</u>	<u>₩ 7,552,352</u>	<u>₩ (1,827,669)</u>	<u>₩ 5,724,683</u>

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Changes in deferred tax assets (liabilities) as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean
won)

	2021						
	January 1, 2021		Profit or loss		Other comprehensive income		Adjustments for exchange rate differences
							December 31, 2021
							Net
							Deferred tax assets
							Deferred tax liabilities
Accrued expenses	₩	7,393,560	₩	3,470,935	₩	-	₩ 7,213
Net defined benefit obligations		(3,296,502)		1,640,673		723,438	-
Loss (gain) on foreign currency translations		1,457,905		(1,684,389)		-	-
Provision for loss on valuation of finished goods		345,230		(291,820)		-	-
Provision for loss on valuation of work-in-progress		140,519		339,398		-	-
Provision for retirement of inventories		-		1,582,689		-	-
Bad debt expenses		-		290,231		-	-
Depreciation		1,020,569		(3,647,263)		-	(49,148)
Provision for performance bonus		6,955,802		3,424,621		-	-
Gain from assets contributed		696,975		54,721		-	-
Accrued income		(130,266)		(161,574)		-	-
Emission liability		103,348		86,057		-	-
Contract assets		(47,615,054)		(18,481,093)		-	-
Contract liabilities		47,702,284		26,845,013		-	-
Lease liabilities / Right-of-use assets		(285,410)		(282,442)		-	(2,144)
Impairment of intangible assets		89,626		7,037		-	-
Gains on valuation of derivative assets		306,133		(1,374,137)		-	-
Investments in associates and joint ventures		(478,384,956)		(41,174,819)		(170,394)	-
Tax loss carryforward		319,492		261,870		-	38,108
Tax credit carryforward		13,333,304		(9,316,983)		-	-
Deferred tax assets (liabilities)	₩	(449,847,441)	₩	(38,411,275)	₩	553,044	₩ (5,971)
							₩ (487,711,643)
							₩ 140,557,821
							₩ (628,269,464)

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	2020						
				December 31, 2020			
	January 1, 2020	Profit or loss	Other comprehensive income	Net	Deferred tax assets	Deferred tax liabilities	
<i>(in thousands of Korean won)</i>							
Accrued expenses	₩ 6,801,661	₩ 591,899	₩ -	₩ 7,393,560	₩ 7,393,560	₩ -	
Net defined benefit obligations	3,464,720	(4,803,978)	(1,957,244)	(3,296,502)	-	(3,296,502)	
Loss (gain) on foreign currency translations	2,150,598	(692,693)	-	1,457,905	1,457,905	-	
Provision for loss on valuation of finished goods	1,865,978	(1,520,748)	-	345,230	345,230	-	
Provision for loss on valuation of work-in-progress	1,300,093	(1,159,574)	-	140,519	140,519	-	
Depreciation	2,836,041	(1,815,472)	-	1,020,569	1,020,569	-	
Provision for performance bonus	5,380,492	1,575,310	-	6,955,802	6,955,802	-	
Gain from assets contributed	696,975	-	-	696,975	696,975	-	
Accrued income	(289,346)	159,080	-	(130,266)	-	(130,266)	
Emission liability	134,033	(30,685)	-	103,348	103,348	-	
Contract assets	(36,658,859)	(10,956,195)	-	(47,615,054)	-	(47,615,054)	
Contract liabilities	35,121,281	12,581,003	-	47,702,284	47,702,284	-	
Lease liabilities / Right-of-use assets	65,143	(350,553)	-	(285,410)	-	(285,410)	
Impairment of intangible assets	89,626	-	-	89,626	89,626	-	
Gains on valuation of derivative assets	(242,724)	548,857	-	306,133	306,133	-	
Investments in associates and joint ventures	(516,153,449)	38,929,149	(1,160,656)	(478,384,956)	34,008,502	(512,393,458)	
Tax loss carryforward	-	319,492	-	319,492	319,492	-	
Tax credit carryforward	<u>22,892,822</u>	<u>(9,559,518)</u>	<u>-</u>	<u>13,333,304</u>	<u>13,333,304</u>	<u>-</u>	
Deferred tax assets (liabilities)	₩ <u>(470,544,915)</u>	₩ <u>23,815,374</u>	₩ <u>(3,117,900)</u>	₩ <u>(449,847,441)</u>	₩ <u>113,873,249</u>	₩ <u>(563,720,690)</u>	

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The analysis of deferred tax assets and liabilities as at December 31, 2021 and 2020, is as follows:

<i>(in thousands of Korean won)</i>	2021	2020
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 140,557,821	₩ 113,873,249
Deferred tax asset to be recovered within 12 months	65,211,637	93,714,228
	<u>75,346,184</u>	<u>20,159,021</u>
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(628,269,464)	(563,720,690)
Deferred tax liability to be recovered within 12 months	(611,759,514)	(558,302,272)
	<u>(16,509,950)</u>	<u>(5,418,418)</u>
Deferred tax liabilities, net	<u>₩ (487,711,643)</u>	<u>₩ (449,847,441)</u>

Realization of the future tax benefits related to the deferred tax assets is dependent on various factors, including the Group's ability to generate taxable income within the period during which the temporary differences reverse, the outlook of the Korean economic environment, and the overall future industry outlook. The Group periodically considers these factors in reaching its conclusion and recognizes deferred income tax assets based on the possibility of future realization.

30. Earnings per Share

Basic earnings per share for the years ended December 31, 2021 and 2020, is calculated as follows:

<i>(in Korean won)</i>	2021	2020
Profit for the year	₩ 393,589,467,655	₩ 240,974,799,963
Weighted-average number of ordinary shares outstanding ¹	<u>66,165,000</u>	<u>66,165,000</u>
Basic earnings per share	<u>₩ 5,949</u>	<u>₩ 3,642</u>

¹ There has been no change in the weighted-average number of ordinary shares outstanding for the years ended December 31, 2021 and 2020.

The Group has no dilutive potential shares; therefore, diluted earnings per share is equal to the basic earnings per share.

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31. Commitments and Contingencies

As at December 31, 2021, details of the Company's borrowings commitment with financial institutions are summarized as follows:

(in thousands of Korean won and in thousands of USD)

Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
Woori Bank	Bank overdraft	KRW	10,000,000	KRW	-
	B2B PLUS	KRW	5,760,000	KRW	-
	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment in foreign currency	USD	30,000	USD	30,000
Hana Bank	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	100,000,000	KRW	30,000,000
	Comprehensive limit	KRW	40,000,000	KRW	-
	General loan in foreign currency	USD	30,000	USD	30,000
Shinhan Bank	General loan	KRW	19,214,000	KRW	-
	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	100,000,000	KRW	10,000,000
Kookmin Bank	Loans for equipment	KRW	100,000,000	KRW	50,000,000
Nonghyup Bank	Loans for equipment	KRW	100,000,000	KRW	20,000,000
Export-Import Bank of Korea	Loans for export growth	KRW	110,000,000	KRW	55,000,000
Mizuho Bank	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	28,000,000	KRW	28,000,000
	Loans for equipment	KRW	100,000,000	KRW	100,000,000
	Loans for equipment	USD	10,000	USD	10,000
Sumitomo Mitsui Bank	General loan	KRW	30,000,000	KRW	-
Australia and New Zealand Banking Group Limited	Loans for equipment	USD	100,000	USD	-
Credit Agricole Bank	Loans for equipment	KRW	100,000,000	KRW	-

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As at December 31, 2021, details of guarantees provided by financial institutions are summarized as follows:

(in thousands of Korean won)

	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantees	KRW	39,500,000	KRW	25,363,447
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000	KRW	-

If the Group does not comply with the commitments below, financial institutions may require an early redemption of long-term borrowings. Details of debt covenants related to long-term borrowings with financial institutions as at December 31, 2021, are as follows:

Financial institution	Remarks	Details of covenants
Sumitomo Mitsui Bank	Shareholder composition ratio	The ownership of the Samsung Group shall be over 50%, and Samsung C&T Corporation shall maintain its ownership in the Company in excess of 30%.
Mizuho Bank	Shareholder composition ratio	Samsung Group (Samsung C&T Corporation, Samsung Electronics) shall maintain ownership of the Company in excess of 60% (voting shares).

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the *Common Property Management Ordinance of Incheon*. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

Lease terms are for a total of 50 years. The initial lease period is for 20 years from the land lease contract date, April 28, 2011, and the Company can renew the contract for another 30 years in successive 10 year increments.

(ii) Exemption requirement

The company whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of *Common Property Management Ordinance of Incheon*. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

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As at December 31, 2021, there are a total of four pending lawsuits of stock transaction damages related to the Group's accounting and disclosure (Note 35) and the total amount of litigation is ₩ 9,296 million.

Contractual obligation to purchase property, plant and equipment and intangible assets which are not incurred as at December 31, 2021 are ₩ 1,342,726 million, of which the amount committed to related parties including Samsung Engineering Co., Ltd. is ₩ 921,121 million.

As at December 31, 2021, the Group entered into an investment agreement with a limit of total ₩ 49,500 million for Samsung Venture Capital Union #54. The Group paid an initial investments of ₩ 12,375 million on August 13, 2021 and plans to pay additional investments in three installments by August 13, 2024.

32. Related Parties

As at December 31, 2021, Samsung C&T Corporation is a controlling company, and the percentage of ownership it has over the Group is 43.44%.

Details of related parties as at December 31, 2021, are as follows:

Relationship	Companies
Parent company	Samsung C&T Corporation
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.
Associates and Joint ventures	Samsung Bioepis Co., Ltd., Archigen Biotech Limited, Samsung Venture Capital Union #54
Others	Samsung Welstory Inc., Samsung C&T Deutschland GmbH, Samsung Research America, Inc, Samsung Electronics Sales Co., Ltd., Samsung SDS America, Seoul Lake Side Co., Ltd., Samoo Architects & Engineers, Samsung Hospitality America Inc.
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung Engineering Co., Ltd. S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung Securities Co.,Ltd, SBTM Corporation, SECUI Corp., S-Core Co., Ltd, and others

¹ Although the entities are not the related party of the Group in accordance with Korean IFRS 1024, the entities belong to the Business Group designated as a conglomerate to which the Group also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

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Outstanding balances with related parties as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	2021											
	Receivables						Payables					
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities						
Parent company												
Samsung C&T Corporation	₩	-	₩	-	₩	-	₩	83,664	₩	-	₩	-
Entity with significant influence over the Company												
Samsung Electronics Co., Ltd.		-		-		-		7,870,023		-		-
Associates and joint ventures												
Samsung Bioepis Co., Ltd.		83,803,971		1,363		20,865		27,784		45,656,471		44,605,848
Others												
Samsung Welstory Inc.		-		2,305		-		1,219,907		-		-
Samsung Electronics Sales Co., Ltd.		-		-		-		3,425		-		-
Samoo Architects & Engineers Co., Ltd.		-		-		-		352,000		-		-
Samsung C&T Deutschland GmbH		-		-		-		21,859		-		-
Samsung SDS America		-		-		-		7,925		-		-
Samsung Hospitality America Inc.		-		-		-		2,803		-		-
The Enterprise Group												
Samsung Card Co., Ltd.		-		31,212		-		306,528		-		-
Samsung Engineering Co., LTD		-		-		-		216,471,395		-		-
S-1 Corporation		-		-		-		3,197,017		-		-
Samsung SDS Co., Ltd.		-		-		-		4,222,265		-		-
Samsung Global Research Co., Ltd.		-		-		-		643,915		-		-
Samsung Fire & Marine Insurance Co., Ltd.		-		-		-		1,911		-		-
Others ¹		-		-		-		71,974		-		-
	₩83,803,971	₩	34,880	₩	20,865		₩234,504,395	₩45,656,471		₩44,605,848		

¹ Transactions with Multicampus Corporation and Hotel Shilla Co., Ltd. were included.

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(in thousands of
Korean won)

	2020									
	Receivables					Payables				
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities				
Parent company										
Samsung C&T Corporation	₩	-	₩	-	₩	-	₩	59,656	₩	-
Entity with significant influence over the Company										
Samsung Electronics Co., Ltd.		-		-				5,718,642		-
Associates and joint ventures										
Samsung Bioepis Co., Ltd.	65,579,967	101,879	16,592	-	50,840,048	44,996,980				
Archigen Biotech Limited	-	-	1,748	-	-	-				
Others										
Samsung Welstory Inc.	-	3,635	-	858,406	-	-				
Samsung Research America, Inc.	-	-	-	91,517	-	-				
The Enterprise Group										
Samsung Card Co., Ltd.	-	37,500	-	198,479	-	-				
Samsung Engineering Co., LTD				3,190,799						
S-1 Corporation	-	-	-	3,104,346	-	-				
Samsung SDS Co., Ltd.	-	-	-	2,663,997	-	-				
Samsung Global Research Co., Ltd.	-	-	-	350,928	-	-				
Samsung Fire & Marine Insurance Co., Ltd.	-	402	-	3,926	-	-				
Cheil Worldwide Inc	-	-		651,369						
Others ¹	-	-	-	146,203	-	-				
	<u>₩65,579,967</u>	<u>₩ 143,416</u>	<u>₩ 18,340</u>	<u>₩ 17,038,268</u>	<u>₩50,840,048</u>	<u>₩44,996,980</u>				

¹ Transactions with Multicampus Corporation and Hotel Shilla Co., Ltd. were included.

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021				
	Revenue		Expenses		Asset acquisition
	Revenue	Others	Service fees	Others	
Parent company					
Samsung C&T Corporation	₩	-	₩	-	₩ 815,428 ₩ 83,945 ₩ -
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.		-		-	6,753,165 12,435 -
Associates and joint ventures					
Samsung Bioepis Co., Ltd.	275,379,070	426,194	30,155	-	145,578
Archigen Biotech Limited	-	43	-	-	-
Others					
Samsung Welstory Inc.	-	32,111	-	11,968,464	-
Samsung Electronics Sales Co., Ltd.	-	3,600	-	51,511	-
Seoul Lake Side Co., LTD	-	-	600	-	1,200
Samoo Architects & Engineers Co., Ltd.	-	-	-	-	5,841,732
Samsung C&T Deutschland GmbH	-	-	-	851,200	-
Samsung Research America, Inc.	-	-	5,839	-	-
Samsung SDS America	-	-	-	101,250	-
Samsung Hospitality America Inc.	-	-	-	-	16,634
The Enterprise Group					
Samsung Card Co., Ltd.	-	15,829	-	551,442	-
Samsung Engineering Co., LTD	-	-	286,000	-	196,792,178
S-1 Corporation	-	-	17,907,018	1,892,777	1,062,293
Samsung SDS Co., Ltd.	-	3,788	1,115,482	16,541,367	3,937,689
Samsung Global Research Co., Ltd.	-	-	555,000	2,604,436	-
Samsung Fire & Marine Insurance Co., Ltd. ¹	-	729,004	-	6,398,877	-
Samsung Life Insurance Co., Ltd. ¹	-	276,552	-	72,246	-
Samsung Securities Co., Ltd. ¹	-	271,406	37,554	-	-
Cheil Worldwide Inc.	-	-	-	438,062	-
SBTM Corporation	-	-	8,000	10,911	-
Others ²	-	-	90,823	1,840,953	-
	₩ 275,379,070	₩ 1,758,527	₩ 27,605,064	₩ 43,419,876	₩ 207,797,304

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As at December 31, 2021, the Group deposited ₩ 44,266 million (2020: ₩ 42,670 million) in Samsung Fire & Marine Insurance Co., Ltd., ₩ 27,654 million (2020: ₩ 23,851 million) in Samsung Life Insurance Co., Ltd., and ₩ 29,721 million (2020: ₩ 25,772 million) in Samsung

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Securities Co., Ltd., as plan assets.

² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., SECUi Corp. were included.

(in thousands of Korean won)

	2020				
	Revenue		Expenses		Asset acquisition
	Revenue	Others	Service fees	Others	
Parent company					
Samsung C&T Corporation	₩	-	₩	-	₩ 471,168 ₩ 150,000 ₩ 19,750
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.		-		-	4,891,487 - -
Associates and joint ventures					
Samsung Bioepis Co., Ltd.	259,056,971	2,551,162	-	-	-
Archigen Biotech Limited	-	148,458	-	-	-
Others					
Samsung Welstory Inc.	-	39,109	-	9,323,126	-
Samsung Electronics Sales Co., Ltd.	-	3,600	-	32,072	-
Samsung C&T Deutschland GmbH	-	-	-	1,177,742	-
Samsung Research America, Inc.	-	-	1,109,358	-	-
The Enterprise Group					
Samsung Card Co., Ltd.	-	13,183	-	432,069	-
Samsung Engineering Co., LTD					2,900,726
S-1 Corporation	-	-	16,792,630	1,312,406	262,299
Samsung SDS Co., Ltd.	-	4,433	-	14,210,407	2,354,212
Samsung Global Research Co., Ltd.	-	-	225,000	1,361,594	-
Samsung Fire & Marine Insurance Co., Ltd. ¹	-	763,753	3,041	5,219,534	-
Samsung Life Insurance Co., Ltd. ¹	-	215,808	-	51,532	-
Samsung Securities Co., Ltd. ¹	-	235,516	48,272	-	-
Cheil Worldwide Inc.	-	-	-	852,154	-
SBTM Corporation	-	-	3,839	18,218	-
Others ²	-	-	129,508	1,079,268	-
	₩ 259,056,971	₩ 3,975,022	₩ 23,674,303	₩ 35,220,122	₩ 5,536,987

¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., S-Core Co., Ltd were included.

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The compensation paid or payable to key management for employee services for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021		2020	
Short-term employee benefits	₩	5,952,615	₩	3,466,362
Long-term employee benefits		1,542,336		1,447,705
Retirement benefits		454,363		449,980
	₩	<u>7,949,314</u>	₩	<u>5,364,047</u>

Key management refers to the registered directors (including non-executives). Compensation of the Group's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Group has granted long-term incentives to the Group's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

Financing transactions with related parties for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	Companies	2021	2020	Description
Associates	Samsung Venture Capital Union #54	₩ 12,375,000	₩ -	Equity contribution in cash
Loans to employees		-	300,000	Loans

33. Statements of Cash Flows

Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021		2020	
Increase in other payables due to acquisition of property, plant and equipment and intangible assets	₩	233,625,654	₩	46,113,985
Transfer of construction-in-progress to property, plant and equipment and intangible assets		123,724,604		102,687,939
Increase in right-of-use assets and lease liabilities		7,206,634		13,693,769

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Changes in liabilities arising from financial activities for the years ended December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)

	2021						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2021	₩ 149,927,459	₩ 39,930,899	₩ 30,000,000	₩ 10,980,000	₩ 531,520,000	₩ 22,546,905	₩ 784,905,263
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	50,000,000	-	149,920,000	-	199,920,000
Proceeds from issuance of debentures	-	498,436,060	-	-	-	-	498,436,060
Repayment of borrowing liabilities	-	-	(30,000,000)	(10,980,000)	-	-	(40,980,000)
Repayment of debentures	(150,000,000)	-	-	-	-	-	(150,000,000)
Payment of lease	-	-	-	-	-	(10,753,924)	(10,753,924)
Others:							
Reclassification to current portion	-	-	-	108,880,000	(108,880,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	-	975,000	3,570,000	285,367	4,830,367
Amortization of discount on debentures	72,541	187,037	-	-	-	-	259,578
Changes in lease	-	-	-	-	-	6,130,367	6,130,367
Gain on lease cancellation	-	-	-	-	-	(416)	(416)
At December 31, 2021	₩ -	₩ 538,553,996	₩ 50,000,000	₩ 109,855,000	₩ 576,130,000	₩ 18,208,299	₩ 1,292,747,295

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(in thousands of Korean won)

	2020						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2020	₩ -	₩ 189,755,125	₩ 150,000,000	₩ 251,650,000	₩ 46,412,000	₩ 15,889,283	₩ 653,706,408
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	30,000,000	-	499,952,000	-	529,952,000
Repayment of borrowing liabilities	-	-	(150,000,000)	(251,650,000)	-	-	(401,650,000)
Payment of lease	-	-	-	-	-	(5,741,882)	(5,741,882)
Others:							
Reclassification to current portion	149,866,414	(149,866,414)	-	11,678,000	(11,678,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	-	(698,000)	(3,166,000)	-	(3,864,000)
Amortization of discount on debentures	61,045	42,188	-	-	-	-	103,233
Changes in lease	-	-	-	-	-	12,399,629	12,399,629
Gain on lease cancellation	-	-	-	-	-	(125)	(125)
At December 31, 2020	₩ 149,927,459	₩ 39,930,899	₩ 30,000,000	₩ 10,980,000	₩ 531,520,000	₩ 22,546,905	₩ 784,905,263

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34. Financial Risk Management

The Group is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

(a) Financial risk management

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

(b) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>	2021		2020	
Cash and cash equivalents ¹	₩	47,410,384	₩	28,850,121
Short-term financial instruments		450,000,000		300,000,000
Financial assets at fair value through profit or loss		850,039,877		500,046,403
Long-term financial instruments		189,491		174,483
Trade and other receivables		354,616,237		246,603,866
Loans		-		700,000
Derivative assets		4,091,971		-
Deposits provided		46,812,354		46,039,821
	₩	<u>1,753,160,314</u>	₩	<u>1,122,414,694</u>

¹ Cash on hand held by the Group is excluded.

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(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Group manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as at December 31, 2021 and 2020, including estimated interest payments and excluding the impact of netting agreements. The Group does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

*(in thousands of
Korean won)*

	2021					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 345,578,834	₩ 345,578,834	₩ 342,930,338	₩ 2,648,496	₩ -	₩ -
Lease liabilities	18,208,298	19,043,888	7,699,851	5,212,986	5,329,081	801,970
Debentures	538,553,996	573,433,181	11,239,000	50,279,070	387,507,876	124,407,235
Short-term borrowings	50,000,000	50,812,192	50,812,192	-	-	-
Long-term borrowings	685,985,000	711,781,531	123,454,360	435,842,182	152,484,989	-
	<u>₩1,638,326,128</u>	<u>₩1,700,649,626</u>	<u>₩ 536,135,741</u>	<u>₩ 493,982,734</u>	<u>₩545,321,946</u>	<u>₩125,209,205</u>

*(in thousands of
Korean won)*

	2020					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 148,932,588	₩ 148,932,588	₩144,261,210	₩ 4,671,378	₩ -	₩ -
Lease liabilities	22,546,904	24,017,909	7,144,259	1,861,321	9,211,129	5,801,200
Debentures	189,858,358	194,767,095	152,901,425	1,412,800	40,452,870	-
Short-term borrowings	30,000,000	30,027,847	30,027,847	-	-	-
Long-term borrowings	542,500,000	568,396,305	20,892,480	118,209,699	429,294,126	-
	<u>₩ 933,837,850</u>	<u>₩ 966,141,744</u>	<u>₩355,227,221</u>	<u>₩126,155,198</u>	<u>₩478,958,125</u>	<u>₩ 5,801,200</u>

(d) Currency risk

The Group is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Group establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

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(i) Exposure to currency risk

The Group's exposure to foreign currency risk as at December 31, 2021 and 2020, are as follows:

(in thousands of Korean won)	2021			
	USD	EUR	JPY	GBP
Assets:				
Cash equivalents	₩ 2,609	₩ -	₩ -	-
Trade and other receivables	320,350,462	100,535	-	608,143
Contract assets	27,999,271	-	-	-
	<u>348,352,342</u>	<u>100,535</u>	<u>-</u>	<u>608,143</u>
Liabilities:				
Borrowings ¹	11,855,000	-	-	-
Trade and other payables	4,839,226	2,362,327	2,001	142,919
	<u>16,694,226</u>	<u>2,362,327</u>	<u>2,001</u>	<u>142,919</u>
	<u>₩ 331,658,116</u>	<u>₩ (2,261,792)</u>	<u>₩ (2,001)</u>	<u>₩ 465,224</u>

(in thousands of Korean won)	2020				
	USD	EUR	CHF	JPY	GBP
Assets:					
Cash equivalents	₩ 10,880,000	₩ -	₩ -	₩ -	-
Trade and other receivables	233,514,513	88,408	-	-	89,344
Contract assets	11,814,842	-	-	-	-
	<u>256,209,355</u>	<u>88,408</u>	<u>-</u>	<u>-</u>	<u>89,344</u>
Liabilities:					
Borrowings ¹	21,760,000	-	-	-	-
Trade and other payables	35,663,842	175,310	308	4,450,768	60,290
	<u>57,423,842</u>	<u>175,310</u>	<u>308</u>	<u>4,450,768</u>	<u>60,290</u>
	<u>₩ 198,785,513</u>	<u>₩ (86,902)</u>	<u>₩ (308)</u>	<u>₩ (4,450,768)</u>	<u>₩ 29,054</u>

¹ Foreign currency borrowings with a foreign currency swap are excluded as they are not exposed to currency risk.

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(ii) The significant exchange rates applied for the years ended December 31, 2021 and 2020, are as follows:

	2021				2020			
	Average rate		December 31, 2021		Average rate		December 31, 2020	
(in Korean won)								
USD	₩	1,144.42	₩	1,185.50	₩	1,180.05	₩	1,088.00
EUR		1,352.79		1,342.34		1,345.99		1,338.24
CHF		1,251.65		1,297.47		1,257.34		1,234.33
JPY(100 ¥)		1,041.45		1,030.24		1,105.07		1,054.26
GBP		1,573.96		1,600.25		1,513.05		1,482.40

(iii) Sensitivity analysis

The Group internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Group's income before tax. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

	2021				2020			
	10% increase		10% decrease		10% increase		10% decrease	
(in thousands of Korean won)								
USD	₩	33,165,812	₩	(33,165,812)	₩	19,878,551	₩	(19,878,551)
EUR		(226,179)		226,179		(8,690)		8,690
CHF		-		-		(31)		31
JPY		(200)		200		(445,077)		445,077
GBP		46,522		(46,522)		2,905		(2,905)
	₩	32,985,955	₩	(32,985,955)	₩	19,427,658	₩	(19,427,658)

(e) Interest rate risk

The Group is exposed to interest rate risk because they raised funds with interests paid at a variable rate. The effects of changes in interest rates by 0.5% applied to the profit and loss (before tax) for the years ended December 31, 2021 and 2020, are as follows:

	2021				2020			
	0.5% increase		0.5% decrease		0.5% increase		0.5% decrease	
(in thousands of Korean won)								
Decrease (increase) in profit before income tax	₩	(1,454,110)	₩	1,454,110	₩	(306,020)	₩	306,020

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(f) *Capital management*

The Group's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Group may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as at December 31, 2021 and 2020, are as follows:

<i>(in thousands of Korean won)</i>		2021		2020
Total liabilities (A)	₩	2,978,908,646	₩	1,825,417,993
Total equity (B)		4,991,102,141		4,598,783,172
Debt-to-equity ratio (A/B)		59.68%		39.69%

35. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission ("SFC") imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company's Financial Statements from 2012 to 2015 regarding the Company's joint venture agreement with Biogen Therapeutics Inc. The measures ("First measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company's executives in charge; and iii) prosecution against the Company and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to 2018. The measures ("Second measures") included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company's representative director (CEO) and executives in charge; iii) referral of the case against the Company and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of ₩ 8 billion on November 21, 2018.

In order to demonstrate the legitimacy of the Company's accounting, the Company submitted requests for cancellation of the First measures on October 8, 2018 and the Second measures on November 27, 2018 to the Seoul Administrative Court (the "Court"). As at the reporting date, the lawsuits seeking the cancellation of the First and Second measures are in progress. On September 24, 2020, the Court ruled to cancel the First measures imposed to the Company by SFC and decided to suspend the First measures until the decision of the appeal trial is made. The SFC appealed the Court's first trial on October 16, 2020 and the litigation is currently in progress at the Seoul High Court.

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In addition, the Company submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on September 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC's measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the financial statements for 2012 and the subsequent reporting periods could potentially be restated.

With respect to this matter, the investigation by the Seoul Central Prosecutors Office against the Company's former CEO and CFO for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act was carried out. In 2021, the Company's former CEO and CFO were indicted for alleged violation of the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of document destruction under Criminal Act.

Meanwhile, on December 9, 2019, employees of the Company and Company's affiliate who were arrested on suspicion of evidence destruction, were found guilty of violating the Act on External Audit of Stock companies and Criminal Act in the first ruling of the Seoul Central District Court. All the employees of the Company's affiliates appealed the ruling above, and the employee of the Company who abandoned his or her appeal received suspended sentences for the destruction of evidence.

If the Company's consolidated financial statements are restated in accordance with the SFC's measures, the investment in associates and joint ventures, the liability accounts including deferred tax liabilities (net), and the capital/retained earnings accounts as at December 31, 2021 would be decreased by ₩ 2,330,760 million, ₩ 608,329 million, ₩ 1,722,431 million, respectively, and the share of profit of associates and joint ventures for the year ended December 31, 2021 would be increased by ₩ 20,326 million, mainly due to the elimination of fair value valuation for Samsung Bioepis in 2015. As a result of this potential restatement, the total comprehensive income for the year ended December 31, 2021 would be increased by ₩ 59,692 million.

(a) Impact on Financial Position

If the Group loses the administrative litigation, it shall restate the statements of financial position (consolidated statements of financial position from 2012 to 2014 and 2020 to 2021) as indicated by the Securities and Futures Commission and its impact shall be as follows.

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(i) As at December 31, 2021 and 2020

(in thousands of Korean won)

	2021			2020		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩2,823,175,325	₩ -	₩2,823,175,325	₩1,751,347,248	₩ -	₩1,751,347,248
Non-current assets	5,146,835,462	(2,210,143,107)	2,936,692,355	4,672,853,916	(2,231,970,559)	2,440,883,357
Investments in associates and joint ventures	2,661,309,486	(2,330,759,762)	330,549,724	2,634,428,494	(2,351,085,909)	283,342,585
Deferred tax assets	-	120,616,655	120,616,655	-	119,115,350	119,115,350
Total assets	<u>₩7,970,010,787</u>	<u>₩ (2,210,143,107)</u>	<u>₩5,759,867,680</u>	<u>₩6,424,201,164</u>	<u>₩ (2,231,970,559)</u>	<u>₩4,192,230,605</u>
Liabilities						
Current liabilities	₩1,107,294,649	₩ -	₩1,107,294,649	₩ 589,300,919	₩ -	₩ 589,300,919
Non-current liabilities	1,871,613,997	(487,711,643)	1,383,902,354	1,236,117,073	(449,847,440)	786,269,633
Deferred tax liabilities	487,711,643	(487,711,643)	-	449,847,440	(449,847,440)	-
Total liabilities	<u>2,978,908,646</u>	<u>(487,711,643)</u>	<u>2,491,197,003</u>	<u>1,825,417,992</u>	<u>(449,847,440)</u>	<u>1,375,570,552</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(8,810,638)	(1,738,979)	(10,549,617)	(7,540,139)	(1,738,979)	(9,279,118)
Retained earnings	2,347,187,197	(1,730,006,253)	617,180,944	1,953,597,729	(1,789,697,909)	163,899,820
Total equity	<u>4,991,102,141</u>	<u>(1,722,431,464)</u>	<u>3,268,670,677</u>	<u>4,598,783,172</u>	<u>(1,782,123,119)</u>	<u>2,816,660,053</u>
Total liabilities and equity	<u>₩7,970,010,787</u>	<u>₩ (2,210,143,107)</u>	<u>₩5,759,867,680</u>	<u>₩6,424,201,164</u>	<u>₩ (2,231,970,559)</u>	<u>₩4,192,230,605</u>

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(ii) As at December 31, 2019 and 2018

(in thousands of Korean won)

	2019			2018		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,356,261,664	₩ -	₩1,356,261,664	₩1,577,683,716	₩ -	₩1,577,683,716
Non-current assets	4,555,364,848	(2,266,795,380)	2,288,569,468	4,402,724,932	(2,341,121,903)	2,061,603,029
Investments in associates and joint ventures	2,652,731,622	(2,369,723,569)	283,008,053	2,561,802,520	(2,387,705,348)	174,097,172
Deferred tax assets	-	102,928,189	102,928,189	-	46,583,445	46,583,445
Total assets	<u>₩5,911,626,512</u>	<u>₩ (2,266,795,380)</u>	<u>₩3,644,831,132</u>	<u>₩5,980,408,648</u>	<u>₩ (2,341,121,903)</u>	<u>₩3,639,286,745</u>
Liabilities						
Current liabilities	₩ 690,505,243	₩ -	₩ 690,505,243	₩ 710,529,787	₩ (38,759)	₩ 710,491,028
Current tax liabilities	12,857,398	-	12,857,398	39,623,718	(38,759)	39,584,959
Non-current liabilities	866,667,524	(470,544,915)	396,122,609	1,114,410,410	(534,542,329)	579,868,081
Deferred tax liabilities	470,544,915	(470,544,915)	-	534,542,330	(534,542,330)	-
Total liabilities	<u>1,557,172,767</u>	<u>(470,544,915)</u>	<u>1,086,627,852</u>	<u>1,824,940,197</u>	<u>(534,581,088)</u>	<u>1,290,359,109</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(10,894,766)	(1,738,979)	(12,633,745)	(6,975,961)	(1,738,979)	(8,714,940)
Retained earnings	1,712,622,929	(1,803,825,254)	(91,202,325)	1,509,718,830	(1,814,115,605)	(304,396,775)
Total equity	<u>4,354,453,745</u>	<u>(1,796,250,465)</u>	<u>2,558,203,280</u>	<u>4,155,468,451</u>	<u>(1,806,540,815)</u>	<u>2,348,927,636</u>
Total liabilities and equity	<u>₩5,911,626,512</u>	<u>₩ (2,266,795,380)</u>	<u>₩3,644,831,132</u>	<u>₩5,980,408,648</u>	<u>₩ (2,341,121,903)</u>	<u>₩3,639,286,745</u>

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(iii) As at December 31, 2017 and 2016

(in thousands of Korean won)

	2017			2016		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 620,995,135	₩ -	₩ 620,995,135	₩1,461,425,176	₩ -	₩1,461,425,176
Non-current assets	6,562,096,027	(3,913,984,446)	2,648,111,581	6,071,590,930	(3,947,716,748)	2,123,874,182
Investments in associates and joint ventures	5,008,234,005	(4,503,664,434)	504,569,571	4,944,356,290	(4,519,128,821)	425,227,469
Deferred tax assets	-	589,679,987	589,679,987	-	571,412,073	571,412,073
Total assets	<u>₩7,183,091,162</u>	<u>₩ (3,913,984,446)</u>	<u>₩3,269,106,716</u>	<u>₩7,533,016,106</u>	<u>₩ (3,947,716,748)</u>	<u>₩3,585,299,358</u>
Liabilities						
Current liabilities	₩2,287,442,106	₩ -	₩2,287,442,106	₩2,476,545,193	₩ -	₩2,476,545,193
Derivative liabilities	1,933,562,427	-	1,933,562,427	1,874,470,943	-	1,874,470,943
Non-current liabilities	919,198,164	(505,315,891)	413,882,273	974,091,453	(526,670,614)	447,420,839
Deferred tax liabilities	505,315,891	(505,315,891)	-	526,670,614	(526,670,614)	-
Total liabilities	<u>3,206,640,270</u>	<u>(505,315,891)</u>	<u>2,701,324,379</u>	<u>3,450,636,646</u>	<u>(526,670,614)</u>	<u>2,923,966,032</u>
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(4,009,447)	(3,780,868)	(7,790,315)	4,947,005	(3,948,258)	998,747
Retained earnings	<u>1,327,734,757</u>	<u>(3,414,201,456)</u>	<u>(2,086,466,699)</u>	<u>1,424,706,873</u>	<u>(3,426,411,645)</u>	<u>(2,001,704,772)</u>
Total equity	<u>3,976,450,892</u>	<u>(3,408,668,555)</u>	<u>567,782,337</u>	<u>4,082,379,460</u>	<u>(3,421,046,134)</u>	<u>661,333,326</u>
Total liabilities and equity	<u>₩7,183,091,162</u>	<u>₩ (3,913,984,446)</u>	<u>₩3,269,106,716</u>	<u>₩7,533,016,106</u>	<u>₩ (3,947,716,748)</u>	<u>₩3,585,299,358</u>

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(iv) As at December 31, 2015 and 2014

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	2015			2014		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 192,853,895	₩ -	₩ 192,853,895	₩ 216,838,130	₩ (106,686,799)	₩ 110,151,331
Non-current assets	5,767,639,821	(3,982,608,742)	1,785,031,079	1,138,859,825	(57,023,021)	1,081,836,804
Investments in associates and joint ventures	4,837,539,390	(4,533,780,087)	303,759,303	53,921,974	311,196,041	365,118,015
Deferred tax assets	-	551,171,345	551,171,345	-	-	-
Total assets	<u>₩5,960,493,716</u>	<u>₩ (3,982,608,742)</u>	<u>₩1,977,884,974</u>	<u>₩1,355,697,955</u>	<u>₩ (163,709,820)</u>	<u>₩1,191,988,135</u>
Liabilities						
Current liabilities	₩1,911,669,204	₩ -	₩1,911,669,204	₩ 236,793,886	₩ (86,282,991)	₩ 150,510,895
Derivative liabilities	1,820,439,050	-	1,820,439,050	-	-	-
Non-current liabilities	1,273,990,355	(581,574,424)	692,415,931	488,171,822	(52,359,864)	435,811,958
Deferred tax liabilities	581,574,424	(581,574,424)	-	-	-	-
Total liabilities	<u>3,185,659,559</u>	<u>(581,574,424)</u>	<u>2,604,085,135</u>	<u>724,965,708</u>	<u>(138,642,855)</u>	<u>586,322,853</u>
Equity						
Share premium	1,030,620,605	9,313,769	1,039,934,374	801,800,313	7,117,379	808,917,692
Accumulated other comprehensive loss	4,839,666	(3,778,548)	1,061,118	9,170,941	(203,819)	8,967,122
Retained earnings	1,601,530,283	(3,406,569,538)	(1,805,039,255)	(314,664,171)	611,394	(314,052,777)
Non-controlling interest	-	-	-	32,591,919	(32,591,919)	-
Total equity	<u>2,774,834,157</u>	<u>(3,401,034,318)</u>	<u>(626,200,161)</u>	<u>630,732,247</u>	<u>(25,066,965)</u>	<u>605,665,282</u>
Total liabilities and equity	<u>₩5,960,493,716</u>	<u>₩ (3,982,608,742)</u>	<u>₩1,977,884,974</u>	<u>₩1,355,697,955</u>	<u>₩ (163,709,820)</u>	<u>₩1,191,988,135</u>

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(v) As at December 31, 2013 and 2012

(in thousands of Korean won)

	2013			2012		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 156,395,179	₩ (112,364,693)	₩ 44,030,486	₩ 217,858,628	₩ (141,513,019)	₩ 76,345,609
Non-current assets	503,166,162	16,598,535	519,764,697	344,486,626	77,518,098	422,004,724
Investments in associates and joint ventures	-	166,631,898	166,631,898	-	163,615,991	163,615,991
Total assets	<u>₩ 659,561,341</u>	<u>₩ (95,766,158)</u>	<u>₩ 563,795,183</u>	<u>₩ 562,345,254</u>	<u>₩ (63,994,921)</u>	<u>₩ 498,350,333</u>
Liabilities						
Current liabilities	₩ 169,229,512	₩ (40,234,504)	₩ 128,995,008	₩ 107,516,998	₩ (34,243,680)	₩ 73,273,318
Non-current liabilities	105,868,478	(26,406,024)	79,462,454	6,366,172	(1,059,834)	5,306,338
Total liabilities	<u>275,097,990</u>	<u>(66,640,528)</u>	<u>208,457,462</u>	<u>113,883,170</u>	<u>(35,303,514)</u>	<u>78,579,656</u>
Equity						
Share premium	516,719,342	-	516,719,342	452,386,129	-	452,386,129
Accumulated other comprehensive loss	(2,341,862)	(136,268)	(2,478,130)	(990,977)	(97,997)	(1,088,974)
Retained earnings	(218,754,883)	416,268	(218,338,615)	(83,168,967)	280,000	(82,888,967)
Non-controlling interest	29,405,629	(29,405,629)	-	28,873,410	(28,873,410)	-
Total equity	<u>384,463,351</u>	<u>(29,125,630)</u>	<u>355,337,721</u>	<u>448,462,084</u>	<u>(28,691,407)</u>	<u>419,770,677</u>
Total liabilities and equity	<u>₩ 659,561,341</u>	<u>₩ (95,766,158)</u>	<u>₩ 563,795,183</u>	<u>₩ 562,345,254</u>	<u>₩ (63,994,921)</u>	<u>₩ 498,350,333</u>

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(b) Impact on Financial Performance

If the Company loses the administrative litigation, it shall restate the statements of comprehensive income (consolidated statements of comprehensive income from 2012 to 2014 and 2020 to 2021) as indicated by the Securities and Futures Commission and its impact shall be as follows.

(i) For the years ended December 31, 2021 and 2020

(in thousands of Korean won)

	2021			2020		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 1,568,006,928	₩ -	₩ 1,568,006,928	₩ 1,164,776,874	₩ -	₩1,164,776,874
Cost of revenue	(841,555,563)	-	(841,555,563)	(748,700,763)	-	(748,700,763)
Gross profit	726,451,365	-	726,451,365	416,076,111	-	416,076,111
Operating profit	537,309,408	-	537,309,408	292,786,554	-	292,786,554
Equity gain (loss) on investments in associates and joint ventures	13,853,142	20,326,148	34,179,290	(17,767,694)	18,637,659	869,965
Net profit before Income tax	561,282,597	20,326,148	581,608,745	265,992,163	18,637,659	284,629,822
Income tax expenses (benefit)	167,693,130	(39,365,508)	128,327,622	25,017,363	4,510,313	29,527,676
Net profit for the year	393,589,468	59,691,656	453,281,124	240,974,800	14,127,346	255,102,146
Other comprehensive income (loss)	(1,270,500)	-	(1,270,500)	3,354,627	-	3,354,627
Total comprehensive income for the year	₩ 392,318,968	₩ 59,691,656	₩ 452,010,624	₩ 244,329,427	₩ 14,127,346	₩ 258,456,773

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(ii) For the years ended December 31, 2019 and 2018

(in thousands of Korean won)

	2019			2018		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 701,591,860	₩ -	₩ 701,591,860	₩ 535,805,801	₩ -	₩ 535,805,801
Cost of revenue	(509,584,425)	-	(509,584,425)	(390,645,859)	-	(390,645,859)
Gross profit	192,007,435	-	192,007,435	145,159,942	-	145,159,942
Operating profit	91,742,387	-	91,742,387	55,678,745	-	55,678,745
Equity gain (loss) on investments in associates and joint ventures	72,940,116	17,981,780	90,921,896	(129,337,333)	(3,364,228)	(132,701,561)
Earnings from disposal of investments in associates and joint ventures	-	-	-	389,213,672	2,119,447,933	2,508,661,605
Net profit before Income tax	155,435,309	17,981,780	173,417,089	302,975,837	2,116,083,704	2,419,059,541
Income tax expenses (benefit)	(47,468,790)	7,691,429	(39,777,361)	78,866,642	513,831,346	592,697,988
Net profit for the year	202,904,099	10,290,351	213,194,450	224,109,195	1,602,252,358	1,826,361,553
Other comprehensive loss	(3,918,805)	-	(3,918,805)	(2,966,514)	(274,831)	(3,241,345)
Total comprehensive income for the year	₩ 198,985,294	₩ 10,290,351	₩ 209,275,645	₩ 221,142,681	₩ 1,601,977,527	₩ 1,823,120,208

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(iii) For the years ended December 31, 2017 and 2016

(in thousands of Korean won)

	2017			2016		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 464,629,334	₩ -	₩ 464,629,334	₩ 294,622,021	₩ -	₩ 294,622,021
Cost of revenue	(332,829,273)	-	(332,829,273)	(268,088,358)	-	(268,088,358)
Gross profit	131,800,061	-	131,800,061	26,533,663	-	26,533,663
Operating profit (loss)	65,979,402	-	65,979,402	(30,422,639)	-	(30,422,639)
Equity gain (loss) on investments in associates and joint ventures	(129,602,338)	15,464,387	(114,137,951)	(129,222,650)	14,651,266	(114,571,384)
Losses on valuation of derivatives	(59,091,484)	-	(59,091,484)	(54,031,894)	-	(54,031,894)
Net profit (loss) before Income tax	(115,994,753)	15,464,387	(100,530,366)	(230,900,983)	14,651,266	(216,249,717)
Income tax expenses (benefit)	(19,022,637)	3,254,198	(15,768,439)	(54,077,574)	34,493,373	(19,584,201)
Net profit (loss) for the year	(96,972,116)	12,210,189	(84,761,927)	(176,823,409)	(19,842,107)	(196,665,516)
Other comprehensive income (loss)	(8,956,451)	167,389	(8,789,062)	107,338	(169,709)	(62,371)
Total comprehensive income (loss) for the year	₩ (105,928,567)	₩ 12,377,578	₩ (93,550,989)	₩ (176,716,071)	₩ (20,011,816)	₩ (196,727,887)

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(iv) For the years ended December 31, 2015 and 2014

(in thousands of Korean won)

	2014			2013		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 91,278,029	₩ (23,901,796)	₩ 67,376,233	₩ 105,148,784	₩ (76,130,543)	₩ 29,018,241
Cost of revenue	(114,784,617)	48,453,429	(66,331,188)	(124,868,406)	41,530,645	(83,337,761)
Gross profit (loss)	(23,506,588)	24,551,633	1,045,045	(19,719,622)	(34,599,898)	(54,319,520)
Operating profit (loss)	(203,642,444)	160,536,379	(43,106,065)	(119,541,186)	38,655,238	(80,885,948)
Equity loss on investments in associates and joint ventures	(19,395,735)	(151,241,000)	(170,636,735)	(32,679,484)	(35,067,057)	(67,746,541)
Earnings from disposal of investments in subsidiaries	4,543,610,535	(4,543,610,535)	-	-	-	-
Losses on valuation of derivatives	(1,820,439,050)	-	(1,820,439,050)	-	-	-
Net profit (loss) before Income tax	2,488,062,610	(4,528,216,321)	(2,040,153,711)	(99,688,402)	3,974,241	(95,714,161)
Income tax expenses (benefit)	583,116,693	(1,132,283,925)	(549,167,232)	-	-	-
Net profit (loss) for the year	1,904,945,917	(3,395,932,396)	(1,490,986,479)	(99,688,402)	3,974,241	(95,714,161)
Other comprehensive income (loss)	(8,535,494)	629,489	(7,906,005)	11,295,735	149,517	11,445,252
Total comprehensive income (loss) for the year	₩1,896,410,423	₩ (3,395,302,907)	₩ (1,498,892,484)	₩ (88,392,667)	₩ 4,123,758	₩ (84,268,909)

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(v) For the years ended December 31, 2013 and 2012

(in thousands of Korean won)

	2013			2012		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 17,120,845	₩ (17,077,340)	₩ 43,505	₩ -	₩ -	₩ -
Cost of revenue	(54,438,932)	54,399,778	(39,154)	-	-	-
Gross profit (loss)	(37,318,087)	37,322,438	4,351	-	-	-
Operating profit (loss)	(154,092,746)	89,212,838	(64,879,908)	(91,357,686)	51,645,812	(39,711,874)
Equity loss on investments in associates and joint ventures	-	(73,031,096)	(73,031,096)	-	(40,016,257)	(40,016,257)
Net profit (loss) before Income tax	(148,473,756)	13,024,108	(135,449,648)	(80,241,939)	7,341,692	(72,900,247)
Income tax expenses	-	-	-	2,066,460	-	2,066,460
Net profit (loss) for the year	(148,473,756)	13,024,108	(135,449,648)	(82,308,399)	7,341,692	(74,966,707)
Other comprehensive income (loss)	(1,424,072)	34,915	(1,389,157)	(1,038,989)	(50,393)	(1,089,382)
Total comprehensive income (loss) for the year	₩ (149,897,828)	₩ 13,059,023	₩ (136,838,805)	₩ (83,347,388)	₩ 7,291,299	₩ (76,056,089)

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36. Events After the Reporting Period

For the diversification of the portfolio and enhancement of business competitiveness as Bio pharmaceutical company, the Group entered in an agreement to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. owned by Biogen Therapeutics Inc. in accordance with resolution of Board of Directors on January 28, 2022. The total of transaction payment amount to USD 2,300,000,000 comprised of the purchasing price and contingent consideration amounting to USD 2,250,000,000 and USD 50,000,000, respectively. The Group plans to pay the purchasing price in three installments as of the date of acquisition (USD 1,000,000,000 at closing, USD 812,500,000 due at the first anniversary and USD 437,500,000 due at the second anniversary of the transaction closing date), and the contingent consideration in lump sum in January 2027 once the conditions are met. The expected transaction closing date and acquisition date is April 2022 which may be changed according to the schedule of the government approval.

The Board of Directors of the Group resolved to increase its capital for the acquisition of construction-in-progress and securities of other entities on January 28, 2022. The expected capital increase amounts to ₩ 3,000,391 million (5,009,000 registered ordinary shares), and the expected listing date of new shares is April 28, 2022.

In December 2020, Biogen Therapeutics Inc. ("Biogen") requested for arbitration in the Court of International Chamber of Commerce against the Company regarding interpretation of certain provision in joint venture agreement by and between Biogen and the Company, however, the arbitration procedure has been suspended according to the agreement made between the two parties in February 2022.